INVESTING & MARKETS (INDIA)

Building & Managing a Portfolio

Turning instruments into a plan — the honest version of why asset allocation dominates, a full worked Investment Policy Statement, risk capacity versus tolerance versus required return, correlation and why ten equity funds is one bet, model allocations by horizon with their worst historical drawdowns, core-satellite sizing, international and gold and debt sleeves, goal bucketing, tax-aware rebalancing worked line by line, XIRR versus CAGR versus TWRR, and the annual review that keeps it all alive.

portfolio construction · asset allocation · india · diversification · rebalancing · xirr · investment policy statement · risk tolerance · core satellite · goal based investing · gold allocation · debt allocation · international investing · position sizing · behavioural finance · annual review

Study Pack · Comprehensive reference & interview prep · ~119 min read · 26,107 words

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Why Asset Allocation Dominates Outcomes

Almost everything that gets written about investing is about selection — which stock, which fund, which entry price. Almost everything that actually determines your outcome is about allocation — how much of your money sits in growth assets versus stable assets, for how long, and whether you stayed invested through the two or three ugly stretches that any multi-decade plan contains. Selection is the part that is interesting to talk about. Allocation is the part that is worth money.

This is financial education, not financial advice
Nothing here is a recommendation to buy, sell or hold any security, scheme, fund, platform or product. No specific stock, mutual fund, ETF, AMC or broker is named as a pick anywhere in this guide; where allocations are shown they are expressed only as **asset classes and categories**, with their assumptions and trade-offs stated. **Past performance does not predict future returns. You can lose money, including your entire capital.** Every model allocation in this guide is an illustration of a structure, not a prescription for you. Your income stability, dependants, existing debt, insurance cover, health, employer concentration and temperament change the right answer materially. For advice specific to your circumstances, consult a **SEBI-registered Investment Adviser (RIA)** and verify the registration number on the SEBI intermediary portal at **sebi.gov.in** before paying anyone anything.

⚠ **Dated figures — as at FY 2025-26 / AY 2026-27**

Tax rates, exemption limits, Liberalised Remittance Scheme ceilings, TCS rates, SEBI categorisation rules and transaction charges referred to in this guide are stated as at **FY 2025-26 (AY 2026-27)** and change by Finance Act, circular and notification. **Verify every number before acting** at **incometax.gov.in**, **sebi.gov.in**, **rbi.org.in** and **amfiindia.com**. In particular: the **Income-tax Act 2025 replaces the Income-tax Act 1961 with effect from 1 April 2026** and renumbers sections throughout — every section number quoted here (111A, 112A, 50AA, 44AB, 234C and so on) is a **1961 Act** reference and must be cross-checked against the new section map. **Verify current status.**

The "93% of returns" claim, honestly

You will see a statistic quoted endlessly: "asset allocation explains 93.6% of returns." It comes from Brinson, Hood and Beebower (1986), a study of 91 large American pension funds, and it is almost always misquoted. What the study actually measured was the proportion of the **variance of quarterly returns over time, within a single fund,** that was explained by its policy allocation. That is a different question from "what fraction of the difference between my portfolio and yours comes from allocation," and a very different question from "what fraction of my total return level comes from allocation."

The question	Roughly what the research says	What it means for you
What share of the *wobble over time* in one diversified portfolio's returns is explained by its policy mix?	About 90% for a typical diversified institutional fund	Mostly a statement that markets move together and your portfolio moves with them. True but not very actionable.
What share of the *difference between two investors' returns* is explained by their policy mixes?	Roughly 40–50% in follow-up work (Ibbotson & Kaplan, 2000)	Allocation matters a great deal, but selection, costs and timing are not nothing.
What share of the *level* of return comes from the policy mix?	Close to 100% on average, because selection is roughly a zero-sum game before costs and negative after	This is the version that actually matters. The market return is what the allocation delivers; everything else is a side bet.
What share of a *real Indian retail investor's* lifetime outcome is explained by allocation?	Not measured well, but savings rate and persistence plausibly dominate both	How much you save and whether you keep going beats both allocation and selection in the first decade.

The honest hierarchy

In descending order of how much they change a 25-year outcome for a salaried Indian engineer: **(1)** savings rate; **(2)** not interrupting the plan during drawdowns; **(3)** equity-versus-everything-else allocation; **(4)** cost; **(5)** tax efficiency; **(6)** allocation within equity (large versus mid versus small, domestic versus international); **(7)** security or fund selection. Most investor attention goes to (7). Most of the money is in (1) to (4).

The arithmetic that makes the point

TEXT

```
THREE INVESTORS, 25 YEARS, SAME STARTING SALARY

Assumptions (illustrative only, not forecasts):
  equity long-run nominal return   11.0% p.a.
  debt  long-run nominal return     6.5% p.a.
  salary growth                     7.0% p.a.
  starting monthly investable       Rs 30,000
  all SIP-style monthly, annual step-up with salary

INVESTOR A - saves 30,000/month, 70% equity / 30% debt,
  never interrupts
    blended nominal return = 0.70*11.0 + 0.30*6.5
                           = 9.65% p.a.
    25-year corpus (with 7% annual step-up)
                           ~ Rs 6.49 crore

INVESTOR B - saves 30,000/month, 70/30, but exits
  equity after a 35% fall in year 8 and re-enters
  three years later, 40% higher
    effective drag estimated at -1.8% p.a. on the
    equity sleeve for the whole period
    blended return         = 8.39% p.a.
    25-year corpus         ~ Rs 5.33 crore
    COST OF ONE PANIC      ~ Rs 1.16 crore

INVESTOR C - saves 45,000/month (50% more), 70/30,
  never interrupts
    same 9.65% blended
    25-year corpus         ~ Rs 9.74 crore
    VALUE OF SAVING MORE   ~ Rs 3.25 crore vs A

INVESTOR D - saves 30,000/month, 70/30, never
  interrupts, and picks funds that beat their
  category by 1.0% p.a. every single year for 25
  years (an outcome almost nobody achieves)
    blended return         = 10.35% p.a.
    25-year corpus         ~ Rs 7.14 crore
    VALUE OF PERFECT
    SELECTION              ~ Rs 0.65 crore vs A

READ THAT AGAIN:
  saving 50% more        -> +Rs 3.25 crore
  not panicking once     -> +Rs 1.16 crore
  flawless selection     -> +Rs 0.65 crore

All figures are illustrative compounding arithmetic on
assumed returns. Actual returns will differ, possibly
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by a lot, and the sequence in which they arrive matters
as much as the average.
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#1	#2	#3	#7
SAVINGS RATE	NOT INTERRUPTING	EQUITY/DEBT MIX	FUND SELECTION

What a portfolio actually is

A portfolio is not a list of holdings. It is a set of decisions, most of which you make once and then defend for twenty years. Five decisions do almost all the work:

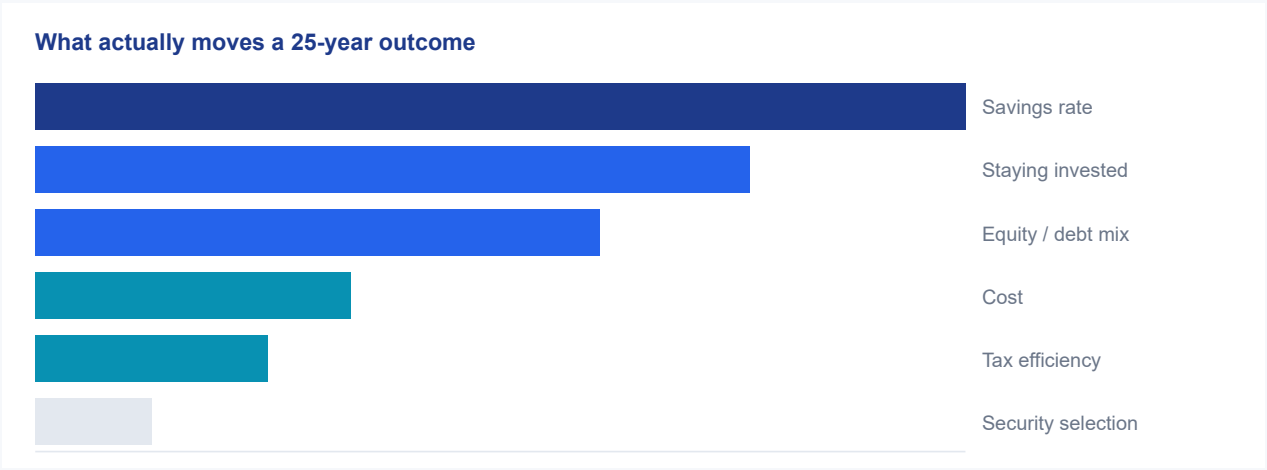
1. **How much goes into growth assets**
   The single largest determinant of both your expected return and your worst drawdown. Everything else is detail by comparison.

2. **How long you can leave it there**
   Horizon converts volatility from a risk into a nuisance. A 40% equity fall is a catastrophe at an 18-month horizon and an irrelevance at a 20-year one, provided you do not sell.

3. **What you will do when it falls**
   Decided in advance and written down, or decided in the moment and badly. There is no third option.

4. **How and when you restore the mix**
   Rebalancing is the mechanical expression of "buy low, sell high" and the only part of the process that forces you to act against your instincts.

5. **What you will not do**
   No leverage, no derivatives on the core, no reacting to forecasts, no single position above X%. Constraints are the cheapest risk control available.



Illustrative relative influence. Bar lengths are a judgement about typical Indian salaried investors, not a measured result — but the ordering is well supported and the inversion relative to where attention goes is the point.

Why this guide exists

The companion guides cover instruments: foundations, how the Indian market works, funds and SIPs, analysing a company, derivatives and trading risk. This guide is about assembling instruments into a plan and keeping the plan alive. It assumes you have a PAN, a demat account and a bank account, that your emergency fund and term and health insurance are already in place, and that you have no credit card or personal loan balance outstanding. If any of those are untrue, fix them before reading further — an 18% personal loan is a guaranteed negative return that no allocation can out-earn.

The Investment Policy Statement

An Investment Policy Statement (IPS) is a one-page document you write for yourself, in calm conditions, that says what you are trying to achieve, what you will hold, what you will never do, and what you will do when markets fall. Institutions are required to have one. Retail investors almost never do, which is precisely why retail investors behave worse than institutions during drawdowns. It takes ninety minutes to write and it is the highest-return ninety minutes in this guide.

What an IPS must contain

Section	What it answers	Why it matters later
Objectives	Which goals, what rupee amount, by what date, in today's money or inflated money	Stops "more is better" drift and gives you a yardstick that is not the index
Time horizon per goal	Years until the first rupee is withdrawn, and over what period withdrawals happen	Determines the equity share. A goal 3 years away cannot carry equity regardless of your risk appetite.
Risk capacity	The largest fall you can absorb without changing your life	An arithmetic constraint, not a feeling
Risk tolerance	The largest fall you can absorb without changing your behaviour	A psychological constraint; usually tighter than capacity for new investors
Required return	The return your goals need given your savings rate	If required return exceeds what the allocation can plausibly deliver, you must save more or want less. You cannot fix it with risk.
Target asset allocation	Percentages by asset class, with bands	The policy you defend
Permitted instruments	Exactly which categories you will use	Keeps the portfolio from acquiring one-off impulses
Prohibitions	What you will never do	The most valuable section. Pre-commitment beats willpower.
Rebalancing policy	Trigger, method, tax rule	Converts a judgement call into a rule
Contribution policy	Monthly amount, step-up rule, where bonuses go	Automates the thing that matters most
Drawdown protocol	Exactly what you do at −20%, −30%, −40%	Written in daylight so it can be followed in the dark
Review cadence	When you look, when you may change the policy	Separates "reviewing" from "reacting"

Amendment rule	Under what conditions the IPS itself may change	Prevents the IPS being rewritten to justify a panic

A complete worked IPS template

The following is a filled example for an invented investor. Copy the structure, replace every number with your own, and keep it in a file you will actually find in five years.

TEXT

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INVESTMENT POLICY STATEMENT
Investor: R. Nair      Version: 1.0   Date: 01-Apr-2026
Next scheduled review: 01-Apr-2027
_____________________________________________________


1. PERSONAL SITUATION
   Age 29, software engineer, Bengaluru.
   Gross salary Rs 32,00,000 p.a. (Rs 32 lakh).
   Dependants: none now; parents partially dependent
     from ~2033.
   Job stability: high demand skill, but single
     employer; notice 2 months; estimated 4-6 months
     to replace income in a bad market.
   Emergency fund: Rs 9,00,000 (Rs 9 lakh) = 9 months
     of expenses, in a sweep FD + liquid fund. NOT
     part of the investment portfolio.
   Insurance: term cover Rs 2.5 crore; family floater
     health Rs 20 lakh + employer cover; personal
     accident Rs 50 lakh. Reviewed annually.
   Debt: nil. Home loan expected 2029; see Goal 2.
   Employer stock (RSUs): Rs 14,00,000 vested. Treated
     as a concentrated single-stock position - see
     section 8 constraint.

2. OBJECTIVES (in today's rupees)
   G1 Emergency buffer top-up  - continuous, no target
   G2 House down-payment       - Rs 40,00,000 by 2030
                                 (4 years)
   G3 Financial independence   - Rs 7,00,00,000
                                 (Rs 7 crore) by 2051
                                 (25 years)
   G4 Parents' medical reserve - Rs 15,00,000 by 2032
                                 (6 years)

3. TIME HORIZONS AND CONSEQUENT EQUITY LIMITS
   G2  4 years  --> max 20% equity  (shortfall is
                    non-negotiable; the date is fixed)
   G4  6 years  --> max 35% equity
   G3  25 years --> equity-dominant; drawdowns are
                    expected and are not a reason to act

4. RISK CAPACITY
   Portfolio value today: Rs 38,00,000.
   A 45% fall in the equity sleeve would reduce the
   portfolio by ~Rs 11,50,000. This does not affect
   rent, EMIs (none), insurance premia, emergency fund
   or the 2030 down-payment (which is held separately
   and conservatively). CAPACITY: HIGH for G3,
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LOW for G2.

5. RISK TOLERANCE
   Self-assessed: moderate. Never experienced a drawdown larger than -18% as an investor. Assume tolerance is LOWER than I think. Consequence: cap equity at 70%, not 85%, and automate contributions so no decision is required monthly.

6. REQUIRED RETURN
   For G3: Rs 7 crore in 25 years, starting corpus Rs 24,00,000 allocated to G3, monthly contribution Rs 60,000 with 7% annual step-up. Required nominal CAGR ~ 8.6%. A 70/30 mix at assumed 11%/6.5% gives ~9.65% nominal expected. Required return is BELOW expected return. No need to stretch for risk. If required had been 14%, the correct response would have been to save more or lower the target, NOT to raise equity to 100% + mid/small tilt.

7. TARGET ASSET ALLOCATION (whole portfolio ex emergency fund and ex RSUs)

Indian equity, broad market	45%
Indian equity, mid/small	10%
International developed equity	10%
Gold	10%
Debt (short duration + G-Sec ladder)	25%
	100%

   Rebalancing bands: +/- 5 percentage points absolute on each line.

8. CONSTRAINTS AND PROHIBITIONS
   - No single stock above 5% of the portfolio, with the SOLE exception of vested employer stock, which must be sold down to below 10% of the portfolio within 12 months of each vest.
   - No leverage of any kind. No margin funding.
   - No derivatives. (Reason: see the SEBI loss studies; I have no edge.)
   - No instrument I cannot explain in four sentences to a non-investor.
   - No lock-in longer than 3 years except retirement vehicles.
   - No unlisted or private placement.
   - No "recommendation" from social media, a WhatsApp group, a Telegram channel, or anyone

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     not a SEBI-registered RIA whose registration I
     have verified.
   - No new scheme/fund added without removing one.
     Hard cap: 8 holdings across the whole portfolio.

9. CONTRIBUTION POLICY
   Rs 60,000/month to G3 on the 3rd of each month by
     standing instruction, split per target weights.
   Rs 55,000/month to G2 in short-duration debt.
   Annual step-up of 10% each April, irrevocably,
     before the appraisal money reaches my habits.
   Bonus: 60% to the portfolio per target weights,
     20% to the emergency fund until 12 months of
     cover, 20% unallocated/spending.

10. REBALANCING POLICY
   Hybrid: check quarterly (Jan/Apr/Jul/Oct, first
     weekend), act only if a band is breached.
   Method: direct NEW CONTRIBUTIONS to the
     underweight asset first. Sell only if the band
     is still breached after three months of
     redirected inflows.
   Tax rule: when selling is required, sell the
     highest-cost-basis lots first and keep annual
     realised LTCG in listed equity at or under the
     Rs 1,25,000 Section 112A exemption where
     possible (as at FY 2025-26; VERIFY).
   Annual hard rebalance each April regardless.

11. DRAWDOWN PROTOCOL (written 01-Apr-2026, in calm
    conditions, to be obeyed without renegotiation)
   -10%  Do nothing. Do not open the app more than
         once a week.
   -20%  Do nothing. Continue SIP. Write the date and
         my feelings in the portfolio log.
   -30%  Continue SIP. Deploy 25% of any idle cash
         above the emergency fund into equity.
   -40%  Continue SIP. Deploy a further 25%. If I am
         employed, increase the monthly contribution
         by 20% for 6 months.
   AT NO LEVEL do I stop the SIP, redeem equity, or
   "move to cash until things are clearer."
   If I want to break this rule I must first wait 30
   days and write one page explaining what changed
   about the 25-year horizon.

12. REVIEW
   Quarterly: 20 minutes. Band check only. No
     performance judgement.
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   Annually (April): 2 hours. Full review per the
     checklist. Policy MAY change only if a life
     fact changed (income, dependants, horizon,
     goal), never because of returns.
   Never: intra-quarter policy changes.

13. AMENDMENT
   Any change to sections 7, 8 or 11 requires a
   30-day waiting period and a written reason that
   does not reference recent market performance.

Signed: R. Nair          Witness/accountability
                         partner: _______________
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✦ **The accountability partner line is not decoration**

Telling one other person — a spouse, a sibling, a friend who also invests — that you have committed to not selling in a crash measurably raises the chance you will not. The cost is zero. Choose someone who will not themselves panic.

The sections people skip, and regret

PROHIBITIONS

Writing "no derivatives, no leverage, no single stock above 5%" costs nothing on a calm Tuesday. It is worth a great deal on the day a colleague describes a trade that tripled. The function of the list is to make the decision already made.

THE DRAWDOWN PROTOCOL

The only section that will be tested. Specify behaviour at numeric thresholds, not vague intentions. "I will stay the course" is not a protocol. "At −30% I deploy 25% of idle cash and increase the SIP" is.

REQUIRED RETURN

Most investors never compute it. If your goals need 9% and your allocation can plausibly deliver 9.5%, you are done — and you have just discovered that you do not need small-cap tilts or derivatives. If they need 16%, no allocation fixes that; the goal or the savings rate must move.

THE AMENDMENT RULE

Without it, the IPS becomes a document you rewrite each time it inconveniences you, which is the same as not having one. A 30-day cooling period and a written justification that may not cite recent returns kills almost every bad amendment.

Risk Capacity, Risk Tolerance and Required Return

Three different quantities get collapsed into the word "risk," and the collapse causes real damage. Capacity is arithmetic: how much you can lose before your life changes. Tolerance is psychology: how much you can lose before your behaviour changes. Required return is a constraint derived from your goals. The correct equity allocation is bounded by the *minimum* of capacity and tolerance, and informed — not determined — by required return.

The three quantities compared

	Risk capacity	Risk tolerance	Required return
Nature	Objective, arithmetic	Subjective, psychological	Derived from goals and savings
Set by	Horizon, income stability, dependants, fixed obligations, insurance, emergency fund	Temperament, experience, financial literacy, sleep	Target corpus, current corpus, contribution, years
Changes	Slowly — job change, marriage, child, loan, illness	Slowly upward with experience; **instantly downward** in a crash	Each year as contributions and corpus change
How to measure	Stress-test: apply a 45% equity fall and check whether any obligation breaks	Look at your behaviour in March 2020 or Oct 2008 if you were invested; if you were not, assume low	Solve for the CAGR that connects today's corpus plus contributions to the target
Failure mode	Forced selling at the bottom to meet an obligation	Voluntary selling at the bottom out of fear	Taking excessive risk to chase an unrealistic target
Fix	Bigger emergency fund, lower equity, longer horizon, less fixed debt	Lower equity now, automate, raise it after you have survived one real drawdown	Save more or want less. **Never** fix it with leverage or concentration.

⚠ **The asymmetry that catches everyone**

Risk tolerance measured in a rising market is not risk tolerance. Every questionnaire that asks "how would you feel if your portfolio fell 30%?" is asking you to imagine a pain you have not felt. The reliable answer comes from behaviour, not imagination. If you have never been through a real bear market as an investor with meaningful money at stake, **assume your tolerance is one notch lower than you believe** and set equity accordingly. You can always raise it after you have been tested. You cannot un-sell at the bottom.

A capacity stress test, worked

TEXT

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RISK CAPACITY STRESS TEST

Investor: 31, married, spouse employed, one child
due in 18 months. Bengaluru.

CURRENT POSITION
  Monthly take-home (combined)       Rs 2,40,000
  Monthly committed outflow
    rent                               Rs 55,000
    home loan EMI                      Rs 48,000
    insurance premia                    Rs 9,000
    parents' support                   Rs 15,000
    living expenses                    Rs 65,000
                                       _________
    total committed                   Rs 1,92,000
  Surplus                               Rs 48,000
  Emergency fund                      Rs 7,00,000
    = 3.6 months of committed outflow
  Portfolio (ex emergency fund)      Rs 42,00,000
    equity 80%  = Rs 33,60,000
    debt   20%  = Rs  8,40,000

SCENARIO: severe but historically ordinary
  equity falls 45%, over 14 months
  one earner loses their job for 7 months
  (these two things correlate - that is the point)

  Equity sleeve after fall        Rs 18,48,000
  Debt sleeve (assume +3%)        Rs  8,65,200
  Portfolio                       Rs 27,13,200
  Portfolio fall                     -35.4%

  Income during the 7 months       Rs 1,20,000/m
  Committed outflow                Rs 1,92,000/m
  Monthly shortfall                   Rs 72,000
  7-month shortfall                 Rs 5,04,000

  Emergency fund Rs 7,00,000 covers it with
  Rs 1,96,000 left. NO FORCED SELLING OF EQUITY.
  VERDICT: capacity is adequate at 80% equity.

NOW CHANGE ONE FACT: emergency fund is
Rs 2,00,000 instead of Rs 7,00,000.
  Shortfall Rs 5,04,000 - buffer Rs 2,00,000
    = Rs 3,04,000 must come from the portfolio
  Debt sleeve covers it ... but only if the debt
  sleeve is liquid. If it is in a 5-year FD with
  a penalty, or a long-duration fund that also
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  fell, you are selling equity at -45%.
  VERDICT: capacity is INADEQUATE. Fix the
  emergency fund BEFORE raising equity.

NOW CHANGE ANOTHER FACT: add a Rs 28,000/month
car loan and a Rs 18,000/month personal loan.
  Committed outflow → Rs 2,38,000
  Monthly shortfall → Rs 1,18,000
  7-month shortfall → Rs 8,26,000
  Exceeds the Rs 7,00,000 emergency fund.
  VERDICT: fixed debt destroys risk capacity.
  Every EMI you add lowers the equity allocation
  you can safely hold.
```

> **The connection nobody draws**
>
> A car loan is not just a cost. It is a reduction in the equity allocation you can safely carry, because it converts a flexible expense into a fixed obligation that must be met in exactly the months when your income and your portfolio are both impaired. Treat every new EMI as a decision to lower your long-run expected return.

Computing required return

TEXT

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REQUIRED RETURN CALCULATION

Goal: Rs 5,00,00,000 (Rs 5 crore) in 22 years
Current corpus for this goal: Rs 18,00,000
Monthly contribution: Rs 45,000
Annual step-up: 8%

We need the nominal CAGR r such that:

  FV = P*(1+r)^22
       + sum over months of C_t*(1+r)^((264-t)/12)

Solving numerically (goal-seek in a spreadsheet, or
the XIRR of the cash-flow series against the target):

  r = 8.1% p.a. nominal

Now test that against what allocations can deliver,
using ILLUSTRATIVE long-run assumptions:

  allocation          assumed     assumed worst
                      nominal     12-month fall
  100% debt             6.5%          -4%
  40/60 eq/debt         8.3%         -18%
  60/40 eq/debt         9.2%         -27%
  70/30 eq/debt         9.7%         -32%
  85/15 eq/debt        10.3%         -39%
  100% equity          11.0%         -46%

  Required 8.1% is met by 40/60 with a margin.
  A 60/40 gives a comfortable buffer.
  There is NO REASON to hold 100% equity for this
  goal. The extra 1.8% of expected return buys a
  19-percentage-point larger drawdown that the goal
  does not need.

THE DISCIPLINE: take the LEAST risk that plausibly
meets the goal, not the most risk you can stomach.
"Assumed nominal" numbers above are illustrative
long-run figures used to show the method. They are
not forecasts and actual outcomes will differ.
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The required-return trap

The dangerous case is when required return exceeds what any sane allocation delivers. An investor who needs 17% because they started at 42 with a ₹3 crore (30,000,000 rupee) target and a small corpus has three honest options and one dishonest one.

Option	Honest?	Effect
Raise the savings rate	Yes	Directly lowers the required return. Usually the largest available lever.
Extend the horizon (retire later, phase retirement)	Yes	Three extra years can cut required return by 2–3 percentage points.
Lower the target (smaller house, lower withdrawal, part-time income)	Yes	Uncomfortable but arithmetic.
Raise equity to 100% with a small-cap tilt, add leverage, sell options for "income"	**No**	Converts a shortfall risk into a ruin risk. The distribution of outcomes widens in both directions; the left tail is what gets you. This is how people arrive at F&O at 45. See the derivatives guide for what the SEBI loss studies say happens next.

✕ **Needing a return does not make it available**
Markets are indifferent to your requirements. The expected return of an asset class is set by prices, cash flows and risk premia, not by what you need. An investor who "needs" 17% and takes the risk required to have a *chance* at 17% has simply accepted a much wider distribution of outcomes — including the one where the corpus is 60% smaller at exactly the wrong moment. **Risk is not a dial that converts into return on demand.**

The Asset Classes and the Job Each One Does

Think of a portfolio as a team where each member has one job. Growth assets do the compounding and supply almost all of the long-run return. Stability assets protect the near-term goals and provide the dry powder for rebalancing. Inflation-hedge assets cover the scenario where paper currency disappoints. Liquidity assets exist so that nothing else ever has to be sold at a bad price. Confusion arises when an asset is hired for one job and judged on another — blaming your debt sleeve for underperforming equity is like blaming the goalkeeper for not scoring.

The four jobs

Job	Asset classes	What success looks like	What failure looks like	Typical horizon
Growth	Listed equity (domestic broad market, mid/small, international), equity funds and index funds, REITs partially	Beats inflation by 5–7 percentage points over 15+ years	Falls 40–60% at least two or three times in a working life	7+ years, honestly 10+
Stability	Government securities, short-duration and corporate bond funds, fixed deposits, PPF, EPF, arbitrage funds	Preserves nominal capital; is available in full on the day you need it	Loses to inflation after tax; credit event in a low-rated fund; duration loss when rates rise	0–5 years
Inflation hedge / crisis diversifier	Gold, to a lesser extent commodities and real assets	Rises or holds when equity and currency are under stress	Decade-long flat stretches producing no income at all	Held permanently, judged over decades
Liquidity	Savings account, sweep FD, liquid and overnight funds	Converts to cash the same day without loss	Too large — a permanent drag disguised as prudence	0–12 months

Asset classes available to an Indian resident investor

Asset class	Primary job	Illustrative long-run nominal return	Worst drawdown character	Liquidity	Ta (F ve
Indian broad-market equity (index)	Growth	10–12%	−40% to −60%, recovery 2–6 years	T+1	ST LT ab ur s.
Indian mid & small cap equity	Growth (higher variance)	11–14% with a much wider band	−55% to −70%, recovery 3–8 years	T+1, but fund-level liquidity can be poor in a sell-off	Sa
International developed equity (via Indian funds/FoFs or LRS)	Growth + currency diversification	8–10% in USD, plus rupee depreciation	−35% to −55% in local currency; rupee fall partially cushions	Varies; FoF route may have NAV lag and investment caps	D st th m s.
Government securities / G-Sec funds / gilt	Stability (sovereign credit)	6.5–7.5%	Price falls with yields; long gilt can fall 8–12% in a rate shock	High	D sp fu or 2(ur
Corporate bond / short duration funds	Stability + small spread	7–8%	Credit event risk; 2018–20 showed this is real	High unless the underlying is stressed	Sa
Bank fixed deposit	Stability + certainty	6.5–7.5%	No mark-to-market, but real return after tax often near zero	Premature withdrawal penalty	In ra s.
PPF	Stability, long lock-in	Administered rate, reset quarterly	None nominal; the risk is lock-in and rate resets	15-year term, partial withdrawals from year 7	EE 2(ve

EPF	Stability, retirement	Administered rate	None nominal	Locked to employment events	Fa cc hi cc ve
Gold (ETF, fund-of-fund, sovereign bonds where available, physical)	Inflation hedge / crisis diversifier	8–9% in INR over very long periods, extremely lumpy	−30% to −45%, flat for 5–10 years at a time	ETF high; physical poor	Va ve th
REITs / InvITs	Income + partial growth	8–11% total return claimed; short Indian history	−30%+ with property cycles and rate shocks	Listed, but thin	Sp ta cc th
Physical real estate	Growth + use value	Highly location-specific; often overstated because costs are forgotten	Illiquid, no daily mark so drawdowns feel invisible but are real	Very poor — months	LT w in 2(pr ac sp —
Cash / liquid funds	Liquidity	5.5–7%	None nominal; guaranteed real loss after tax	Same day to T+1	Sl de ve
Crypto / VDA	None established	Unknown; no cash flow to discount	−70% to −90% repeatedly	Varies	3(s. TI s. **se**

⚠ **Every return figure above is illustrative, not a forecast**

Long-run return ranges are drawn from broad historical experience to show the *shape* of each asset class. The next 20 years will not repeat the last 20. Indian equity's historical return includes a period of exceptional nominal GDP growth and falling interest rates that may not recur. Use these to reason about **relative** roles, never as inputs to a plan you treat as reliable.

Why each job needs a different asset

GROWTH CANNOT DO STABILITY'S JOB

Equity has produced, in India and everywhere else, multi-year stretches of negative returns. 2008 took the Indian market roughly 60% down and several years to recover in real terms. If your house down-payment is in equity and the date arrives during such a stretch, the asset has not failed — you hired it for the wrong job.

STABILITY CANNOT DO GROWTH'S JOB

A 7% nominal FD against 5–6% inflation and slab-rate tax on the interest is, for a 30% bracket taxpayer, approximately a zero or negative real return. Thirty years of that does not fund retirement. Safety in nominal terms is a slow loss in real terms.

GOLD CANNOT BE JUDGED ANNUALLY

Gold produces no cash flow, so it has no intrinsic rate of return to fall back on. It has had decade-long flat periods. Its job is to be uncorrelated when it matters — currency stress, geopolitical shock, severe inflation. If you judge it on three-year returns you will sell it immediately before it does its job.

LIQUIDITY CANNOT BE LARGE

An oversized cash pile is the most common hidden drag in Indian portfolios. Twelve months of expenses is prudent. Four years of expenses "because the market looks expensive" is a 7-percentage-point annual opportunity cost dressed up as caution.

The roles drawn out



Hire each asset for one job and judge it only on that job. Most portfolio disappointment is a job-description error, not a selection error.

Correlation and What Real Diversification Means

Holding ten equity funds is not diversification. It is one bet, purchased ten times, with ten expense ratios and ten sets of paperwork. Diversification only does anything when the things you own are driven by *different* underlying forces, which shows up statistically as low or negative correlation. Most Indian retail portfolios are far less diversified than their holding count suggests, because the holdings all answer to the same question: what is the Indian equity market doing today?

Correlation in one paragraph

Correlation measures how two return series move together, on a scale from −1 (perfect opposites) through 0 (unrelated) to +1 (identical movement). A portfolio's volatility is not the average of its components' volatilities; it is reduced by every pair with correlation below 1. The mathematics is unforgiving: adding a second asset with a 0.95 correlation to the first reduces portfolio volatility by almost nothing. Adding one with a 0.2 correlation reduces it materially even if that second asset is individually more volatile.

TEXT

```
TWO-ASSET PORTFOLIO VOLATILITY

sigma_p = sqrt( w1^2*s1^2 + w2^2*s2^2
                + 2*w1*w2*rho*s1*s2 )

Take s1 = 18% (broad Indian equity),
     s2 = 22% (Indian mid/small equity),
     w1 = w2 = 50%

  if rho = 0.90  →  sigma_p = 19.5%
  if rho = 0.50  →  sigma_p = 17.3%
  if rho = 0.10  →  sigma_p = 14.9%
  if rho = -0.30 →  sigma_p = 12.1%

Now take s1 = 18% (equity), s2 = 15% (gold),
w1 = 80%, w2 = 20%

  if rho =  0.00 →  sigma_p = 14.8%
    (vs 18.0% for 100% equity: a 3.2pp reduction
     from a 20% allocation to a MORE volatile-
     looking, zero-income asset)
  if rho = -0.20 →  sigma_p = 14.1%

THE LESSON: the correlation term, not the
volatility of the added asset, decides whether
diversification happened. A volatile, uncorrelated
asset diversifies. A calm, highly correlated one
does not.

Illustrative volatilities and correlations - use
your own measured figures over your own period.
Correlations are NOT stable; see below.
```

An illustrative correlation matrix for an Indian investor

The figures below are **indicative long-run magnitudes**, not measured outputs for any specific period or instrument. Compute your own from actual monthly return series before relying on any of them; correlations shift with the regime.

	Indian large cap	Indian mid cap	Indian small cap	Sector fund (any)	U e
Indian large cap	1.00	0.85	0.78	0.75–0.90	0.
Indian mid cap	0.85	1.00	0.92	0.70–0.88	0.
Indian small cap	0.78	0.92	1.00	0.65–0.85	0.
US / developed equity (INR)	0.30–0.55	0.25–0.50	0.20–0.45	0.25–0.50	1.
Gold (INR)	−0.10 to 0.15	−0.10 to 0.15	−0.10 to 0.15	−0.10 to 0.15	0.
Short-duration debt	0.00–0.10	0.00–0.10	0.00–0.10	0.00–0.10	0.
Long G-Sec	−0.10 to 0.20	−0.10 to 0.15	−0.10 to 0.15	−0.10 to 0.15	0.

Read the top-left block carefully

Indian large, mid and small cap sit between 0.78 and 0.92 with each other. That means a portfolio of a large-cap fund, a flexi-cap fund, a mid-cap fund, a small-cap fund and two thematic funds is, statistically, **close to a single position**. It will fall together, recover together, and give you six sets of capital gains statements for the privilege. The genuinely diversifying lines in that matrix are international equity, gold and debt — and precisely those are the three allocations Indian retail portfolios most often omit.

Why ten equity funds is not diversification — worked

TEXT

```
PORTFOLIO A – "well diversified", 6 equity funds
  large cap fund        20%
  flexi cap fund        20%
  mid cap fund          15%
  small cap fund        15%
  sectoral/thematic     15%
  focused fund          15%
  Average pairwise correlation approx 0.84
  Estimated portfolio volatility (using s~19–23%
    per sleeve) approx 19.8%
  2008-style scenario: roughly –58%
  Underlying holdings overlap: typically 40–65% by
    weight across the large/flexi/focused sleeves
  Number of genuinely distinct bets: ONE
    (Indian equity, with a mid/small tilt)

PORTFOLIO B – 4 holdings
  Indian broad-market index     55%
  International developed       15%
  Gold                          10%
  Short-duration debt           20%
  Estimated portfolio volatility approx 12.4%
  2008-style scenario: roughly –34%
  Number of genuinely distinct bets: FOUR

SAME EXPECTED RETURN, ROUGHLY.
TWO-THIRDS OF THE DRAWDOWN.
TWO-THIRDS FEWER HOLDINGS TO TRACK.

Estimates use the illustrative volatility and
correlation ranges above and are shown to
demonstrate the mechanism, not to predict any
actual outcome.
```

The overlap problem, concretely

Two actively managed Indian equity funds in adjacent categories frequently hold many of the same large companies. If a large-cap fund and a flexi-cap fund each hold 30 names and 18 are common, and those 18 account for 55% of each fund's weight, then owning both gives you a modest reduction in manager risk and essentially no reduction in market risk. You can check this: most fund research sites publish portfolio overlap percentages between any two schemes, and fund factsheets publish full holdings monthly (AMFI mandates monthly portfolio disclosure — see **amfiindia.com**; verify current disclosure norms).

- [ ] Count your **distinct bets**, not your holdings. Most Indian retail portfolios have 1–2 distinct bets and

8–14 holdings.

- [ ] Check pairwise overlap between any two equity funds before adding the second one.
- [ ] Any new holding must answer: **what does this do that nothing I already own does?** If the answer is "it is a good fund," that is a selection argument, not a diversification argument.
- [ ] Count employer stock, employer sector exposure and employer-dependent income as part of the equity concentration. A software engineer at a listed IT company with RSUs and an IT-heavy index already has substantial single-sector risk before buying anything.

Correlations are not stable, and they break when you need them

> ⚠ **Correlation rises in crises**
>
> The historically reliable observation is that in severe sell-offs, **correlations between risk assets converge toward 1**. Indian mid caps, Indian large caps, international equity, credit-risk debt funds and REITs can all fall together in a liquidity crisis, because the marginal seller is selling everything to raise cash. The things that held up in March 2020 were sovereign bonds, gold (after an initial fall) and cash — not "diversified equity." Build your drawdown expectations on crisis correlations, not on average-period correlations. This is the single most common way a backtested allocation disappoints in practice.

What diversification can and cannot do

Claim	True?	Explanation
Diversification increases expected return	No	Expected return is the weighted average of component expected returns. Diversification lowers the variance around it, which raises the *compound* (geometric) return for a given arithmetic mean — a real but modest second-order effect.
Diversification reduces volatility	Yes	Directly, through the correlation term.
Diversification removes company-specific risk	Yes, largely	20–30 reasonably distributed holdings remove most idiosyncratic risk. An index fund removes it structurally.
Diversification removes market risk	**No**	No amount of equity diversification protects against an equity bear market. Only non-equity assets do.
More holdings means more diversification	No	Beyond roughly 25–30 distinct businesses, additional names add almost nothing. Beyond 2 equity funds in the same category, nothing at all.
Diversification protects in a crash	Partially	Cross-*asset-class* diversification does. Within-equity diversification does not.
Diversification guarantees you will not lose money	**No**	A diversified portfolio can fall 35% and stay down for years. It reduces the chance of a *permanent* loss from a single failure; it does not remove market risk.

Strategic Allocation Versus Tactical Allocation

Strategic allocation is the long-run policy mix in your IPS, chosen for your horizon and capacity, changed only when your life changes. Tactical allocation is deviating from it because you have a view on the near-term market. The evidence on retail tactical allocation is bleak, and understanding *why* it fails is more useful than being told not to do it.

The two compared

	Strategic (policy)	Tactical
Basis	Horizon, capacity, tolerance, required return	A view on valuation, momentum, macro or flows
Changes	Rarely — on a life event	Frequently — monthly to quarterly
Decisions per decade	1–3	40–120
Required skill	Honest self-assessment, arithmetic	Forecasting market direction, repeatedly, net of costs
Costs	Near zero	Brokerage, STT, stamp duty, GST, bid-ask, capital gains tax on each switch
Tax drag	Deferred for decades	Realised at every switch — a permanent reduction in the compounding base
Evidence of success	Works by construction if you persist	Weak at the institutional level; worse at retail
Psychological load	Low	High, and self-reinforcing — every move invites the next

Why tactical allocation usually fails

1. **You need two correct decisions, not one**
   Exiting requires being right about when to leave *and* when to return. If each has a 55% hit rate — generous — the joint probability is 30%. The move that is always remembered is the exit; the one that destroys the return is the delayed re-entry.

2. **The best days cluster inside the worst periods**
   The largest single-day gains in equity markets overwhelmingly occur within weeks of the largest declines, because that is where volatility lives. Being out "until things are clearer" structurally removes the recovery, which is the part you cannot afford to miss.

3. **Costs and taxes are certain; the edge is not**
   Every switch in a taxable account crystallises capital gains. A 12.5% LTCG payment on a long-held equity position is a permanent 12.5% reduction of the gain that would otherwise have kept compounding. You must beat that, plus costs, plus the drag of being wrong sometimes.

4

Valuation signals work over a decade, not a quarter

Markets can stay expensive for years. A valuation-based exit in 2016 or 2020 would have been "correct" on the metric and ruinous on the outcome. Signals with multi-year horizons cannot be used for 3-month decisions.

5

Each successful trade increases position size and frequency

The behaviourally dangerous outcome is early success, which raises confidence and stake just as the regime changes.

6

Nobody keeps score

Retail tactical allocators almost never maintain a record of the counterfactual — what the untouched policy portfolio would have returned. Without that number, the exercise is unfalsifiable and continues indefinitely.

TEXT

```
THE COST OF BEING OUT – ILLUSTRATIVE ARITHMETIC

Assume an equity index compounds at 11% p.a. over
20 years, and that the return is not smooth: a
small number of days contribute a large share of
the total. This concentration is a robust feature
of equity markets everywhere.

  Fully invested, 20 years, Rs 10,00,000
    → Rs 80,62,000  (8.06x)

  Miss the 10 best days
    → roughly 9.0% p.a.  → Rs 56,04,000
       (−31% vs staying invested)

  Miss the 20 best days
    → roughly 7.6% p.a.  → Rs 43,27,000
       (−46%)

  Miss the 30 best days
    → roughly 6.4% p.a.  → Rs 34,46,000
       (−57%)

The figures depend on the index and period chosen
and are often quoted selectively. The honest
version: BOTH the best and worst days cluster in
volatile periods, so a tactical investor who exits
volatility misses both. The net effect in most
studied periods is still negative, because markets
rise more often than they fall and the recovery
days are larger than the decline days are small.

The decisive practical point is different and not
statistical at all: the tactical investor almost
never re-enters on the day they planned to.
```

✦ **If you must be tactical, bound it**

Some investors cannot resist. The damage-limiting structure is a **hard-capped tactical sleeve**: no more than 10% of the portfolio, funded once, never topped up from the core, with every trade logged including the counterfactual. Measure it annually against what the same money would have done sitting in the core. Most people who do this honestly close the sleeve within three years, which is the point of the exercise.

The legitimate exceptions

Three deviations from a static policy are defensible and are not really "tactical" at all, because they follow rules rather than forecasts:

REBALANCING

Mechanically selling what rose and buying what fell. This is contrarian by construction and requires no forecast. It is covered in full later in this guide.

GLIDE PATH

Reducing equity as a dated goal approaches. This is a response to shortening horizon, not to a market view, and should be written into the IPS in advance with specific years and percentages.

VALUATION-AWARE CONTRIBUTION ROUTING

Directing *new* money toward whichever asset is below its band. Identical to rebalancing in effect, zero tax cost, and requires no sale. This is the only form of "buying the dip" worth institutionalising.

Model Allocations by Horizon and Risk Appetite

What follows are structures, not recommendations. Each is expressed purely in asset-class terms — never a named fund, scheme or security — and each is presented with the assumptions behind it, the plausible range of outcomes, and the worst drawdown an allocation of that shape has historically suffered. The last column is the one to read first. If a number in it would make you sell, that allocation is wrong for you regardless of what the expected return column says.

These are illustrations of structure, not advice

No allocation below is suitable for everyone or for anyone in particular. The right mix depends on facts this guide cannot know: your income stability, dependants, existing debt, insurance adequacy, employer concentration, health, inheritance expectations, spouse's portfolio and — most of all — how you actually behave when your corpus falls by a third. **Expected return figures are illustrative long-run assumptions, not forecasts.** Drawdown figures describe the broad historical behaviour of allocations of that shape and should be treated as a *floor* on what is possible, not a ceiling. Consult a SEBI-registered Investment Adviser before implementing anything.

SHARED ASSUMPTIONS FOR EVERY MODEL BELOW

Input	Assumed value	Note
Indian broad-market equity, nominal	11.0% p.a.	Illustrative long-run; wide band around it
Indian mid/small equity, nominal	12.5% p.a.	Higher assumed return, materially higher variance and worse drawdowns
International developed equity in INR, nominal	10.0% p.a.	Local-currency return plus assumed long-run rupee depreciation; both uncertain
Gold in INR, nominal	8.0% p.a.	Extremely lumpy; long flat stretches
Debt (short duration + G-Sec blend), nominal	6.8% p.a.	Pre-tax; slab taxation on most vehicles materially reduces this
Inflation	5.5% p.a.	Headline CPI is not your personal inflation; education and healthcare run higher
Costs	0.25% p.a.	Achievable with direct-plan index products; regular plans cost 4–6x this
Emergency fund	Excluded	6–12 months of expenses held separately, not part of any allocation below
Insurance	Assumed in place	Term life sized to liabilities plus income replacement; family health cover
High-cost debt	Assumed zero	Nothing below out-earns a 14–40% borrowing cost

Model A — horizon 20+ years, high capacity, tested tolerance

Asset class	Weight	Role
Indian equity, broad market	50%	Core growth engine
Indian equity, mid & small cap	15%	Higher-variance growth tilt; the first thing to cut if tolerance is untested
International developed equity	15%	Currency and concentration diversification
Gold	10%	Crisis diversifier
Debt, short to medium duration	10%	Rebalancing ammunition, not safety

Metric	Value
Equity share	80%
Illustrative expected nominal return (pre-tax, post-cost)	~10.4% p.a.
Illustrative expected real return	~4.6% p.a.
Plausible 10-year annualised range (roughly 80% of outcomes)	+3% to +16% p.a.
Worst drawdown an allocation of this shape has historically suffered	**Approximately −45% to −52%**, with 3–5 years to recover in nominal terms and longer in real terms
What that means in rupees on a ₹1 crore (10,000,000 rupee) corpus	A fall to roughly ₹48–55 lakh (4,800,000–5,500,000 rupees), sustained for two or more years
Who it is plainly wrong for	Anyone with a goal inside 7 years, unstable income, no emergency fund, or who has never experienced a bear market with real money

Model B — horizon 12–20 years, moderate tolerance

Asset class	Weight	Role
Indian equity, broad market	45%	Core growth
Indian equity, mid & small cap	8%	Modest tilt
International developed equity	12%	Diversification
Gold	10%	Hedge
Debt, short to medium duration	25%	Stability and rebalancing capacity

Metric	Value
Equity share	65%
Illustrative expected nominal return	~9.6% p.a.
Illustrative expected real return	~3.9% p.a.
Plausible 10-year annualised range	+4% to +14% p.a.
Worst historical drawdown for this shape	**Approximately −35% to −40%**
Trade-off vs Model A	Gives up roughly 0.8 percentage points of expected annual return to cut the worst drawdown by about 12 percentage points. Over 20 years that costs perhaps 15% of terminal corpus and buys a materially higher probability that you actually stay invested — which is worth more than 15% if it changes your behaviour even once.

Model C — horizon 7–12 years, conservative or untested tolerance

Asset class	Weight	Role
Indian equity, broad market	35%	Growth
International developed equity	10%	Diversification
Gold	10%	Hedge
Debt, short duration	35%	Stability
Liquid / ultra-short	10%	Near-term flexibility

Metric	Value
Equity share	45%
Illustrative expected nominal return	~8.6% p.a.
Illustrative expected real return	~2.9% p.a.
Worst historical drawdown for this shape	**Approximately −22% to −27%**
Honest caveat	At a 2.9% real return, a 25-year retirement corpus requires a much higher savings rate. This allocation is appropriate for a shortening horizon, not as a permanent home for a 25-year goal held by a nervous investor — in that case the better fix is a higher savings rate *and* gradually building tolerance, not permanently accepting a low real return.

Model D — horizon 3–5 years, dated goal

Asset class	Weight	Role
Indian equity, broad market	15%	A small growth kicker only; could be zero
Gold	5%	Optional
Debt, short duration / target-maturity matched to the goal date	60%	Core
Liquid / FD maturing on the goal date	20%	Certainty

Metric	Value
Equity share	15%
Illustrative expected nominal return	~7.5% p.a.
Worst historical drawdown for this shape	**Approximately −8% to −11%**
Design principle	For a dated goal, the asset must mature when the goal arrives. **A fixed date and a volatile asset are incompatible.** If a 15% equity sleeve falling 50% would make the down-payment impossible, the equity sleeve should be zero.

Model E — horizon under 3 years

Asset class	Weight
Liquid / overnight / sweep FD / arbitrage	50%
Short-duration debt or FD maturing at or before the goal date	50%
Equity	**0%**

⚠ **There is no clever answer for a sub-3-year goal**

Every attempt to squeeze a few extra percentage points out of money you need in 24 months — balanced advantage funds, arbitrage with equity taxation, dynamic bond funds, "safe" small-cap positions — adds variance you cannot afford. The correct return target for short-horizon money is "slightly above a savings account, with certainty." Accept it.

The same information as a decision table

Years to the goal	Maximum sensible equity	Reasoning
Under 2	0%	No recovery window exists
2–3	0–10%	A 50% equity fall must be survivable from the goal's perspective
3–5	10–25%	Partial recovery possible but not assured
5–7	25–45%	Historically most equity drawdowns, though not all, recover inside this window
7–10	45–60%	Horizon starts to dominate volatility
10–15	60–75%	Equity's edge over debt becomes materially likely, though never guaranteed
15+	70–85%	Capped by tolerance and capacity, not by horizon
Any horizon, untested tolerance	One band lower than the above	You can raise it after your first real bear market

ℹ **On the "100 minus age" rule**

The old heuristic — equity percentage equals 100 minus your age — is a crude proxy for horizon and nothing more. It ignores income stability, dependants, existing debt, pension entitlement and the fact that a 60-year-old with a 30-year retirement still has a 30-year horizon for the tail of their corpus. It is better than no rule and worse than the horizon table above. Use it only as a sanity check: if your allocation is wildly outside it, be able to explain why.

What a drawdown actually feels like in rupees

TEXT

```
AN 80% EQUITY PORTFOLIO, Rs 1,20,00,000 CORPUS
A −45% drawdown, month by month (illustrative
shape drawn from how real bear markets unfold)

 Month  Portfolio value    Fall    What is being said publicly
 ──────────────────────────────────────────────────────────────
  0     Rs 1,20,00,000      0%     "structural bull market"
  2     Rs 1,10,40,000     −8%     "healthy correction"
  4     Rs 1,00,80,000    −16%     "buy the dip"
  6     Rs   93,60,000    −22%     "valuations now reasonable"
  9     Rs   84,00,000    −30%     "this time is different"
 12     Rs   75,60,000    −37%     "capital preservation mode"
 15     Rs   69,60,000    −42%     "equities are dead"
 18     Rs   66,00,000    −45%     silence; nobody publishes
 24     Rs   72,00,000    −40%     "dead cat bounce"
 30     Rs   84,00,000    −30%     "cautious optimism"
 42     Rs  1,02,00,000   −15%     "recovery underway"
 54     Rs  1,21,20,000    +1%     "new bull market"

Four and a half years. Rs 54,00,000 of visible
loss at the trough. Your SIP continues throughout,
which is the only reason the recovery is as fast
as it is − the contributions made between months
9 and 30 do most of the work.

THE TEST: read month 18 again. Would you have
continued contributing? If the honest answer is
no, your equity allocation is too high TODAY,
while everything is calm. Fix it now; you will
not be able to fix it then.
```

Choosing between the models

START ONE NOTCH MORE CONSERVATIVE THAN YOU THINK

The cost of being 10 percentage points under-allocated to equity for five years is roughly 0.45% a year of forgone return. The cost of panicking once out of a too-aggressive allocation is 20–40% of a lifetime outcome, as the opening arithmetic showed. The asymmetry is enormous and runs entirely one way.

RAISE EQUITY BY EXPERIENCE, NOT BY APPETITE

A sensible rule: you may increase your equity target by 5 percentage points only after you have continued contributing through a drawdown of at least 20%. This ties allocation to demonstrated behaviour rather than imagined fortitude.

SIMPLICITY BEATS PRECISION

The difference between a 65/35 and a 70/30 allocation is noise. The difference between an allocation you follow for 25 years and one you abandon in year 6 is everything. A slightly suboptimal plan executed is strictly better than an optimal plan abandoned.

WRITE THE DRAWDOWN NUMBER INTO YOUR IPS

Not "I am an aggressive investor" but "this allocation can fall to ₹55 lakh and I have decided in advance that I will keep contributing." The rupee figure is what makes the commitment real.

Core and Satellite Construction

Core-satellite is a structure that lets you satisfy the urge to do something without letting that urge touch the money that matters. A large, boring, low-cost core carries the plan. A small, explicitly capped satellite carries your opinions. The critical design feature is the wall between them: the satellite can never be topped up from the core, and its performance is measured separately and honestly.

The structure

Emergency fund → **Core 80–95%** → **Satellite 5–20%** → **Separate scorecard** → **Annual verdict**

	Core	Satellite
Purpose	Capture the asset-class return reliably	Express a view; learn; scratch the itch
Size	80–95% of the portfolio	5–20%, hard capped
Content	Broad-market index exposure, debt, gold, international — asset classes, not opinions	Direct stocks, a thematic or sectoral tilt, a factor tilt, an active manager you specifically believe in
Turnover	Near zero; only rebalancing	Whatever you want, within the cap
Cost	As low as achievable	Will be higher; that is part of the honest accounting
Measured against	Its own blended benchmark	What the same money would have earned in the core
Top-up rule	All regular contributions go here by default	**Never topped up from the core.** Only from a pre-decided share of new savings.
Exit rule	Only at the goal date or for rebalancing	Closed if it underperforms the core over a full cycle, or if it breaches the cap

Sizing the satellite honestly

TEXT

WHAT A SATELLITE CAN AND CANNOT DO TO YOUR PORTFOLIO RETURN

Portfolio Rs 50,00,000.
Core return assumed 10.0% p.a.

Satellite size	Satellite return	Portfolio return	Delta vs 100% core
5%	+20%	10.50%	+0.50pp
5%	0%	9.50%	−0.50pp
5%	−50%	7.00%	−3.00pp
10%	+20%	11.00%	+1.00pp
10%	0%	9.00%	−1.00pp
10%	−50%	4.00%	−6.00pp
20%	+20%	12.00%	+2.00pp
20%	0%	8.00%	−2.00pp
20%	−50%	−2.00%	−12.00pp
40%	+20%	14.00%	+4.00pp
40%	−50%	−14.00%	−24.00pp

READ THE ASYMMETRY. A satellite that doubles (+100%) at 10% weight adds 9pp in that year. A satellite that halves at 10% weight costs 6pp. But a satellite that doubles is rare and a satellite that halves is common, because concentrated positions are concentrated.

And there is a second asymmetry: a good year in the satellite makes you want to enlarge it. The cap exists precisely to stop that.

PRACTICAL SIZING

First two years of investing	0%
After two years, if you want one	5%
Experienced, documented process	10%
Absolute ceiling for a salaried investor with no edge	20%

The satellite's real job is educational

For most people the satellite earns less than the core and is still worth having, because it converts an abstract temptation into a bounded, measured experiment. Investors who run a properly capped and honestly scored satellite for three years usually either shrink it or close it — and they stop wondering. That resolution is worth the tuition fee, as long as the fee is capped at 10% of the portfolio and not 100%.

The satellite scorecard

TEXT

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SATELLITE SCORECARD – FY 2026-27
Reviewed: 05-Apr-2027

Opening satellite value            Rs 4,00,000
Contributions during year          Rs 1,20,000
Closing satellite value            Rs 5,02,000
Satellite XIRR                           6.8%

COUNTERFACTUAL: the same cash flows invested
in the core blend instead
  Closing value would have been    Rs 5,61,000
  Core blend XIRR                        17.4%

VERDICT: satellite underperformed the core by
10.6 percentage points, costing Rs 59,000 in
the year.

Cumulative since inception (3 years):
  Satellite                               8.1%
  Core counterfactual                    13.9%
  Cumulative cost                  Rs 1,84,000

Additional costs incurred in the satellite that
the core would not have incurred:
  brokerage + STT + stamp + GST      Rs  9,400
  realised STCG tax                  Rs 11,200
  hours spent (est. 95 hrs)          unpriced

DECISION PER IPS: three consecutive years of
underperformance versus the core triggers
closure. Satellite closed; proceeds moved to
core over the next two quarters, managing the
capital gains across two financial years.
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Satellite ideas that are legitimate, and ones that are not

Satellite content	Defensible?	Why
A small number of direct equities you have genuinely researched, with a written thesis per name	Yes, with position limits	Bounded, educational, and the research discipline transfers. See stock analysis.
A deliberate factor tilt (value, quality, low volatility, momentum) via index products	Yes	Rules-based, cheap, and the evidence is at least debated rather than absent. Expect long underperformance stretches.
An active manager whose process you can describe in writing	Yes	Legitimate, provided you can state the process and the conditions under which you would exit.
A sectoral or thematic position	Marginal	These are concentrated bets on a narrative, sold hardest at the top of a cycle. Historically the categories with the worst investor-return gap.
Small-cap overweight beyond the model allocation	Marginal	Can work over 15 years; the drawdown is brutal and liquidity disappears exactly when you want it.
Derivatives, intraday trading, leveraged positions	**No**	Not a satellite. A different activity with a different risk profile and a documented record of retail losses — see derivatives and trading risk. If you do it, it is a separate ring-fenced account with money you have written off, not a portfolio sleeve.
Unlisted shares, pre-IPO, private placements	**No** for a beginner	Illiquid, opaque pricing, unfavourable tax treatment, and the information asymmetry is total.
Crypto / VDA	Only as written-off money	30% flat tax under s.115BBH with **no loss set-off against anything**, 1% TDS under s.194S. The tax structure alone makes it unsuitable as a portfolio sleeve. Verify current provisions.

International Exposure — the Case For and Against

India is roughly 4% of global equity market capitalisation and a far smaller share of global corporate earnings. An Indian investor with 100% domestic equity has made an enormous implicit bet: that one country's equity market, in one currency, driven by one policy regime, will serve them for forty years. That bet may pay off handsomely. It is still a bet, and it is rarely made consciously.

The case for

Argument	Substance
Concentration	Your salary, your employer, your real estate, your bank deposits, your parents' assets and your future liabilities are all in India and in rupees. Your portfolio is the only part of your balance sheet you can diversify geographically. For a software engineer whose employer's revenue is dollar-linked the picture is more nuanced, but the human capital is still domestic.
Currency	The rupee has depreciated against the dollar over most long periods. An unhedged dollar asset therefore carries a second return source. This is not guaranteed and can reverse for years, but the structural drivers (inflation differential, current account) have historically pointed one way.
Sector exposure unavailable domestically	Global semiconductors, large-scale pharmaceutical research, global consumer platforms and much of the frontier technology complex have little or no listed Indian equivalent. Domestic indices are heavily weighted to financials, IT services, energy and consumer staples.
Correlation	Developed-market equity in INR terms has historically correlated with Indian equity in the 0.3–0.55 band — much lower than any pair of Indian equity categories. It is one of the few genuinely diversifying growth assets available.
Regime insurance	The scenario that destroys a 100%-domestic plan is a decade of Indian policy or macro disappointment. It is not the likely scenario. It is the one you cannot recover from, and insurance against it is cheap.

The case against

Argument	Substance
Tax treatment is worse	Most routes to international equity for a resident Indian investor are **not** taxed under s.111A/112A. Depending on the structure, gains may be taxed at slab rates or under the non-equity regime, and the ₹1.25 lakh s.112A exemption does not apply. This can cost 10–20 percentage points of the gain versus a domestic equity fund. **Verify the current treatment of your specific route** — see the tax guide.
Costs are higher	Fund-of-fund structures add a layer of expense. Direct routes via LRS add remittance fees, currency conversion spread (often 0.5–2%), and sometimes custody or platform charges.
Operational friction	Some domestic international funds have faced **investment restrictions** arising from the industry-level overseas investment limits administered by SEBI and RBI, causing subscriptions to be suspended or capped. Availability is not guaranteed. **Verify current status at sebi.gov.in and amfiindia.com.**
LRS, TCS and compliance	Direct foreign investing uses the Liberalised Remittance Scheme with a stated annual ceiling (**USD 250,000 per financial year per resident individual as at FY 2025-26 — verify at rbi.org.in**) and attracts Tax Collected at Source on remittances above a threshold. Foreign assets must be disclosed in **Schedule FA** of the income-tax return; non-disclosure carries exposure under the Black Money Act. This is real compliance work, not a formality.
Currency can work against you	Rupee appreciation, when it happens, directly reduces INR returns from unhedged foreign assets. There have been multi-year stretches of this.
India may simply do better	The growth argument for Indian equity is real. An investor who diversified heavily away from India over certain past decades gave up return. Diversification has a cost, and the cost is giving up the best outcome in exchange for avoiding the worst.

A reasonable way to think about sizing

TEXT

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INTERNATIONAL ALLOCATION - FRAMING THE DECISION

The market-capitalisation answer:
  India is roughly 4% of global equity market cap.
  A pure global-market-weight investor would hold
  ~96% international. Essentially nobody does this,
  and for an Indian investor it would be wrong:
  your liabilities, inflation and spending are all
  in rupees.

The home-bias-adjusted answer:
  Most practitioners in most countries land at
  15-35% international for the equity sleeve.
  For India, the frictions (tax, cost, access
  limits) argue for the lower end.

The "what am I insuring against" answer:
  Q: what fraction of my balance sheet is already
     tied to the Indian economy?
  Salary (NPV of future earnings)    very large
  Employer equity / RSUs             often large
  Home / planned home                large
  Bank deposits, EPF, PPF            all INR
  Indian equity portfolio            large
  → Even at 30% international within the EQUITY
     sleeve, your total exposure to India remains
     overwhelming. That is an argument that 30%
     is not reckless, not that it is required.

A WORKED EXAMPLE OF THE WHOLE-BALANCE-SHEET VIEW
  Age 30, salary Rs 30,00,000, 30 years to work.
  Crude NPV of future salary at 6% discount,
  6% growth: approximately Rs 9,00,00,000
  (Rs 9 crore) - entirely India, entirely INR.
  Financial portfolio: Rs 40,00,000.
  Even 100% of the portfolio in international
  equity would leave the balance sheet ~96%
  India-exposed.

PRACTICAL LANDING ZONE for most Indian investors:
  10-20% of the TOTAL portfolio in developed-market
  equity, which is roughly 15-25% of the equity
  sleeve. Below 5% it is too small to matter;
  above 35% the tax and cost friction starts to
  eat the diversification benefit.

This is a framing, not a recommendation. Your
answer depends on your tax position, the routes
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available to you, and whether you will actually
hold it through a period when India outperforms.
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⚠ **The hardest part is holding it**

International allocation will underperform domestic equity for years at a stretch, and during those years every conversation and every headline will tell you that you were wrong. The investors who abandon international exposure almost always do so after a stretch of Indian outperformance — which is exactly when the diversification is cheapest to buy. If you cannot commit to holding it through a five-year period of looking foolish, do not start.

Routes compared, structurally

Route	Mechanics	Cost character	Tax character (verify)	Friction
Domestic mutual fund investing overseas (fund-of-fund or direct equity feeder)	Rupee subscription, no LRS, no Schedule FA for the fund itself	Fund expense plus underlying fund expense	Generally the non-equity regime; **not** s.112A. Check the fund's own stated treatment and the current equity-exposure thresholds.	Lowest. Subject to industry overseas-investment limits that have historically caused subscription suspensions.
Domestic ETF tracking an international index	Buy on NSE/BSE with your existing demat	Expense ratio plus possible premium/discount to iNAV, which can be wide	Non-equity regime generally; verify	Low, but watch the market price versus underlying value
Direct overseas brokerage via LRS	Remit USD under LRS, hold shares in your own name abroad	Remittance charges, FX spread, possible platform fees	Capital gains in India on sale; dividends taxable with DTAA credit; **Schedule FA disclosure mandatory**	Highest — LRS limit, TCS, annual disclosure, estate-tax considerations in some jurisdictions
GIFT City routes	Via IFSC-based intermediaries	Varies	Specific regime; evolving	**Verify current status** — rules in this space have changed repeatedly

TCS on LRS remittances

Remittances under the Liberalised Remittance Scheme attract **Tax Collected at Source** above a stated annual threshold, with different rates for different purposes (education and medical remittances are treated differently from investment remittances). TCS is **not an additional tax** — it is a prepayment that you claim as a credit against your income-tax liability when you file, or claim as a refund. It is, however, a real cash-flow cost: the money sits with the government until you file. **Rates and thresholds have changed more than once in recent years; verify the current position at incometax.gov.in before remitting.** As at FY 2025-26.

Gold — the Role and the Vehicles

Gold is the asset most Indian households already own and least understand as a portfolio component. It pays no dividend, has no earnings to grow, and its price is ultimately whatever someone else will pay. That makes it indefensible on a cash-flow basis and defensible on a correlation basis. Its job is not to produce returns. Its job is to not fall when everything else does.

What gold does and does not do

Claim	Assessment
Gold is a long-run inflation hedge	Over very long periods (30–50 years) roughly yes; over 5–15 year windows it has repeatedly failed to track inflation. It is a *monetary-stress* hedge more than an inflation hedge.
Gold protects in equity crashes	Often, not always. It fell with everything in the initial liquidity scramble of March 2020 before rising sharply. Expect it to help on a 3–12 month view, not on day three of a crash.
Gold hedges rupee depreciation	Structurally yes, because gold is priced globally in dollars. For an Indian investor, INR gold return = USD gold return + rupee depreciation. This is a meaningful and under-appreciated part of its domestic appeal.
Gold produces income	No. Zero cash flow. Every rupee of return must come from price.
Gold beats equity long-run	No, and it should not be expected to. It has no earnings engine.
Gold has low drawdowns	No. Gold has had falls exceeding 30% and multi-year flat periods. It is a volatile asset that happens to be volatile at different times from equity.
You should hold a lot of it	Most frameworks land at 5–15% of the portfolio. Below 5% it cannot move the needle; above 20% you are giving up too much of the growth engine for an asset with no intrinsic return.

TEXT

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WHY A 10% GOLD SLEEVE EARNS ITS PLACE
(illustrative, using the assumptions in this guide)

Portfolio X:  90% equity blend, 10% debt
  expected nominal        10.6%
  estimated volatility    17.6%
  estimated worst 12m    -42%

Portfolio Y:  80% equity blend, 10% gold, 10% debt
  expected nominal        10.3%  (-0.3pp)
  estimated volatility    15.1%  (-2.5pp)
  estimated worst 12m    -36%    (+6pp better)

The gold sleeve costs 0.3 percentage points of
expected return and buys roughly 6 percentage
points of drawdown reduction, because its
correlation with equity is near zero and
occasionally negative.

Compound-return effect: lower variance raises the
GEOMETRIC return for a given arithmetic mean by
approximately sigma^2/2. Here:
  X: 0.176^2/2 = 1.55pp of variance drag
  Y: 0.151^2/2 = 1.14pp of variance drag
  difference = 0.41pp in Y's favour

So on a compound basis, the gold sleeve is roughly
return-neutral while materially reducing drawdown.
That is the whole argument. It is not an argument
that gold will go up.
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The vehicles, compared

Vehicle	What you own	Ongoing cost	Liquidity	Purity/storage risk	T
Gold ETF	Units backed by physical gold held by the fund's custodian	Expense ratio, typically modest; plus brokerage and demat charges on trade	Exchange-traded; check traded volume and the premium/discount to iNAV before dealing	None to you	
Gold fund-of-fund	Units in a fund that holds the gold ETF	FoF expense on top of the underlying ETF expense	NAV-based subscription and redemption; no demat needed	None to you	
Sovereign Gold Bonds	A government obligation linked to the gold price, with a stated coupon	None	Listed but historically thin in the secondary market; defined early-redemption windows	None	
Digital gold (via apps/platforms)	A contractual claim on allocated gold	Spread between buy and sell price, often 3–6%; storage	Platform-dependent	Counterparty risk on the vault operator	

	with a private vault operator	charges after a period			
Physical jewellery	Gold plus making charges	Making charges of 8–25% lost on purchase; locker rent; insurance	Poor — you sell at a discount	Purity, theft, storage	
Physical coins/bars	Gold	Dealer spread, locker, insurance	Moderate; dealer-dependent	Theft, authentication on sale	

⚠ **Jewellery is consumption, not investment**

Making charges of 8–25% are an immediate, unrecoverable loss. Wastage, the dealer's buy-sell spread on resale, locker rent and insurance stack on top. Family gold has cultural and emotional value and may well be the right thing to own — but it should be counted at a conservative realisable value, outside the investment portfolio, and it should not be the reason you skip a proper gold allocation. Conversely, if you already hold a large quantity of family gold, counting it means your *incremental* gold allocation may be zero.

Practical gold rules

- ☐ Decide a target weight (commonly 5–15%) and treat it as a permanent allocation, not a trade.
- ☐ Count existing family gold you actually control at a conservative realisable value before buying more.
- ☐ Rebalance into and out of it like any other sleeve — which means selling some after a gold rally, which will feel wrong.
- ☐ Never judge it on 1-year or 3-year returns. The judgement window is "did it help in the one bad year out of ten," and you cannot know that in advance.
- ☐ Check the premium or discount to underlying value before buying an exchange-traded gold product; thin trading can make this wide.

- [ ] **Verify the current tax treatment of your chosen vehicle before buying** — the 23 July 2024 changes altered holding periods and rates for several non-equity assets, and gold vehicles differ from each other.

The Debt Allocation — What It Is Actually For

The most common error in the debt sleeve is treating it as a place to earn returns. It is not. It is a place to store certainty. Every attempt to raise the return of the debt sleeve — longer duration, lower credit quality, more complex structures — imports exactly the kind of risk the sleeve exists to exclude, and it imports it at the worst possible moment, because credit and duration stress correlate with equity stress.

The four jobs of a debt sleeve

1. FUNDING NEAR-TERM GOALS

Money needed in under five years. The asset must be available in full, on the date, regardless of what equity has done. Duration and credit quality are matched to the goal date.

2. DAMPENING PORTFOLIO VOLATILITY

A 25% debt sleeve mechanically cuts the portfolio's equity drawdown by roughly a quarter. This is the sleeve's contribution to you not selling.

3. PROVIDING REBALANCING AMMUNITION

When equity falls 40%, rebalancing requires something to sell. If the entire portfolio is equity, there is nothing to rebalance from. The debt sleeve is the dry powder.

4. COVERING THE SEQUENCE-OF-RETURNS PROBLEM

Near and during withdrawal, 2–5 years of spending held in debt means you never sell equity into a bear market to fund living expenses. This is the single most important structural protection in retirement.

Duration matching — the one concept that matters

Duration measures a bond or bond fund's price sensitivity to interest-rate changes. A fund with a modified duration of 6 falls roughly 6% in price if yields rise 1 percentage point, and rises roughly 6% if yields fall 1 point. For portfolio purposes the rule is simple: **match the duration of the instrument to the horizon of the goal.** If the money is needed in three years, a three-year duration means rate movements largely wash out by the time you need it. A seven-year duration for a three-year goal is a bet on rates, not a plan.

TEXT

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DURATION MATCHING, WORKED

Goal: Rs 20,00,000 needed in exactly 3 years.
Current yield on 3-year AAA paper: 7.2%

CASE 1 - matched: 3-year target-maturity /
roll-down instrument, duration ~2.8

  Scenario A: yields rise 150bp in year 1
    immediate price fall ~ -4.2%
    but you hold to maturity; the higher
    reinvestment yield recovers it.
    3-year outcome: approximately the 7.2%
    you locked in, give or take 20bp.

  Scenario B: yields fall 150bp
    immediate price gain ~ +4.2%
    reinvestment at lower yields gives it back.
    3-year outcome: approximately 7.2%.

  CONCLUSION: when duration ~ horizon, the
  outcome is approximately the entry yield,
  WHATEVER rates do. That is the whole point.

CASE 2 - mismatched: 10-year gilt fund,
duration ~7.0, same 3-year horizon

  Scenario A: yields rise 150bp in year 1
    price fall ~ -10.5%
    Rs 20,00,000 target → you are short
    Rs 2,10,000 and you have 2 years to recover
    it at a running yield of ~7%.
    3-year annualised outcome: roughly 3.5%
    You miss the goal or delay it.

  Scenario B: yields fall 150bp
    price gain ~ +10.5%
    3-year annualised outcome: roughly 10.6%
    You beat the goal and conclude you are
    good at this.

  CONCLUSION: the mismatched position turned a
  funding plan into a rate bet with a 7pp
  spread of outcomes. Scenario B is the
  dangerous one, because it teaches the wrong
  lesson.

Yields and durations illustrative. Check actual
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portfolio duration in the fund's monthly
factsheet — it is disclosed.
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FD versus debt fund versus G-Sec, by goal

Goal character	Sensible vehicle	Why	Watch out for
Emergency fund	Sweep FD and/or overnight/liquid fund, split across two institutions	Same-day or T+1 availability; no mark-to-market surprise	Do not chase yield here. Credit risk in a liquid fund is a tail you cannot afford.
Known expense in 6–18 months (fees, insurance, travel)	FD maturing on the date, or ultra-short/low-duration fund	Certainty; duration near zero	Premature FD withdrawal penalties if the date moves
Down-payment in 3–5 years	Target-maturity or short-duration instrument maturing near the goal date, or a laddered FD	Duration matched; outcome approximately the entry yield	Credit quality — prefer sovereign or the highest-rated paper for money you cannot lose
Child's education in 8–12 years	Glide path: equity-dominant early, shifting into matched-duration debt from year 5	Horizon permits equity early; the date forces certainty late	Forgetting to glide. Write the schedule into the IPS with years and percentages.
Retirement, 20+ years away	EPF/PPF/NPS plus short-to-medium duration funds as the liquid portion	Lock-in vehicles carry administered rates and tax benefits; liquid portion funds rebalancing	PPF and EPF are debt. Count them. Many investors run "80% equity" portfolios that are 55% equity once EPF is included.
Retirement, in drawdown	3–5 years of spending in laddered short-duration/FD; the rest growth	Removes sequence-of-returns risk on living expenses	Letting the ladder run down without refilling it in good years
Rebalancing ammunition	Short-duration, high credit quality	Must be available and not itself impaired when equity falls	Credit-risk and long-duration funds fail this test precisely when it matters

FD versus debt fund, on the merits

Dimension	Bank fixed deposit	Debt mutual fund
Return certainty	Contractual rate, known in advance	Market-linked; NAV moves with yields and credit
Credit exposure	The bank, with deposit insurance up to a stated limit per depositor per bank (**₹5,00,000 as at FY 2025-26 under DICGC — verify at rbi.org.in**)	A diversified pool of issuers; concentration limits apply under SEBI rules
Liquidity	Premature withdrawal usually allowed with a rate penalty	Generally T+1; exit loads may apply on short holdings
Taxation of returns	Interest taxed at **slab rate every year on accrual**, with TDS under s.194A above a threshold	For **specified debt funds purchased on or after 1 April 2023, gains are taxed at slab rate under s.50AA** regardless of holding period — but **only on redemption**, so tax is deferred. Verify current provisions.
The remaining advantage of the fund	—	**Deferral.** An FD taxes you every year on interest you have not spent, reducing the base that compounds. A debt fund defers that to redemption. Over 10 years at a 30% bracket this is a meaningful, if no longer dramatic, edge.
Duration control	Fixed to the tenor chosen	Explicit — the factsheet discloses modified duration; you can match it to a goal
Operational simplicity	Very high	Moderate
Where it fails	Real return after tax is often near zero for a 30% bracket taxpayer	Credit events (2018–2020 demonstrated these are not theoretical) and duration losses if mismatched

⚠ **Section 50AA changed the debt fund calculus — verify current status**

For **specified mutual funds** acquired on or after **1 April 2023**, capital gains are deemed short-term and taxed at **slab rates** under s.50AA of the Income-tax Act 1961, removing the long-term indexation benefit that previously made debt funds structurally superior to fixed deposits for long holdings. The definition of "specified mutual fund" and the treatment of units acquired *before* that date have been amended; the surviving advantage of a debt fund over an FD is mainly **tax deferral** plus duration control, not a lower rate. **Verify the current definition, grandfathering and rates at incometax.gov.in before choosing between the two.** As at FY 2025-26 / AY 2026-27.

Credit quality — the sleeve where you should be boring

TEXT

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WHY CHASING YIELD IN THE DEBT SLEEVE IS
A BAD TRADE

Suppose two debt options for a Rs 10,00,000
stability sleeve:

  Option 1: sovereign / highest-rated, 7.0%
  Option 2: lower-rated credit, 9.0%

The spread is 2.0 percentage points = Rs 20,000
a year on Rs 10,00,000.

Now the downside. A credit event in a
concentrated low-rated portfolio can mean a
side-pocketed or written-down exposure. Historical
Indian experience includes instances where
investors took losses in the 10-50% range on
specific exposures, and where redemptions were
restricted at exactly the moment money was needed.

Expected value, crudely:
  gain if nothing happens      +Rs 20,000/yr
  loss if a 20% impairment
    hits 15% of the portfolio  -Rs 30,000
  probability needed to break
    even over 5 years           ~3.3%/yr

That is not an obviously good bet. But the real
objection is not the expected value - it is the
CORRELATION. Credit stress arrives with equity
stress and with job stress. The sleeve that was
supposed to be your rebalancing ammunition and
your emergency backstop is impaired at exactly
the moment you need it.

THE RULE: take your risk in the equity sleeve,
where you are paid for it and where you have
chosen it deliberately. Do not take hidden,
uncompensated, correlated risk in the sleeve
whose entire purpose is certainty.
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Goal-Based Bucketing — a Worked Three-Goal Plan

A single pooled portfolio with one allocation cannot simultaneously serve a down-payment in four years and retirement in twenty-six. Bucketing solves this by running a

separate, horizon-appropriate allocation for each goal. The overhead is modest — typically three to six holdings in total — and the behavioural benefit is large, because a fall in the retirement bucket no longer threatens the house.

The worked plan

TEXT

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INVESTOR: A. Deshpande, 29, software engineer,
Pune. Monthly take-home Rs 1,85,000.
Monthly expenses Rs 78,000.
Monthly investable Rs 90,000.
Existing corpus Rs 26,00,000.
Emergency fund Rs 7,00,000 already held
  SEPARATELY (9 months of expenses, sweep FD +
  liquid fund, two banks). Not shown below.
Insurance in place: term Rs 2 crore, health
  family floater Rs 15 lakh. Not shown below.
Debt: nil.

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GOAL 1 - HOUSE DOWN-PAYMENT
  Target (today's money)        Rs 35,00,000
  Horizon                       4 years (2030)
  Inflated target at 6%         Rs 44,19,000
  Starting allocation from
    existing corpus             Rs  6,00,000
  Monthly contribution          Rs 55,000
  Date flexibility              NONE - the
    purchase is planned around a specific
    life event

  ALLOCATION (horizon 4 yrs → max 20% equity;
  chosen 10% because the date is rigid)
    Indian broad equity           10%
    Short-duration debt           55%
    Target-maturity debt maturing
      2030                        25%
    Liquid                        10%
  Expected nominal return        ~7.4%

  PROJECTION
    FV of Rs 6,00,000 at 7.4% over 4 yrs
                                Rs  7,98,000
    FV of Rs 55,000/month for 48 months
      at 7.4%                   Rs 30,67,000
    TOTAL                       Rs 38,65,000
    SHORTFALL vs Rs 44,19,000   Rs  5,54,000

  RESPONSE OPTIONS (note: raising equity is NOT
  among them - the horizon forbids it)
    a) raise the monthly to Rs 65,000
       → FV Rs 44,24,000. MEETS THE GOAL.
    b) delay 9 months
    c) reduce the target (smaller property or
       larger loan)
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    d) direct the annual bonus here
  CHOSEN: (a) partially + (d). Monthly raised to
  Rs 60,000; 60% of each annual bonus is
  directed to this bucket until 2030.

  GLIDE PATH (written in advance)
    2026-27  10% equity
    2027-28  10% equity
    2028-29   5% equity
    2029-30   0% equity, 100% in instruments
              maturing before the purchase date
  Reason: the last 12 months must carry zero
  market risk. A -30% equity move in month 46
  cannot be recovered.

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GOAL 2 - PARENTS' MEDICAL RESERVE
  Target (today's money)        Rs 15,00,000
  Horizon                       6 years, but
    could be needed sooner - this is the key
    design constraint
  Starting allocation           Rs  4,00,000
  Monthly contribution          Rs  8,000

  ALLOCATION (horizon nominally 6 yrs, but the
  need could arrive at any time → treat as a
  2-year horizon for risk purposes)
    Short-duration debt           70%
    Liquid / sweep FD             30%
    Equity                         0%
  Expected nominal return        ~6.8%

  PROJECTION
    FV of Rs 4,00,000 over 6 yrs Rs  5,94,000
    FV of Rs 8,000/month, 72 mo  Rs  7,09,000
    TOTAL                        Rs 13,03,000
    vs inflated target at 10%
    medical inflation            Rs 26,57,000
    LARGE SHORTFALL

  RESPONSE: this is NOT primarily an investment
  problem. Medical inflation of 10-14% cannot be
  out-invested with a 6-year horizon and zero
  equity. The correct primary response is
  INSURANCE: a separate senior-citizen health
  policy or an enhanced floater, plus a super
  top-up. The reserve then covers deductibles,
  co-pay, non-covered items and the gap period.
  Target revised to Rs 8,00,000 (reserve) and
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  the balance addressed by raising cover.

  THE GENERAL LESSON: check whether a goal is an
  insurance problem before treating it as an
  investment problem. Disability, death, critical
  illness and hospitalisation are insurance
  problems. Education and retirement are
  investment problems. Confusing the two is
  expensive in both directions.

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GOAL 3 - FINANCIAL INDEPENDENCE
  Target (today's money)     Rs 4,00,00,000
    (Rs 4 crore, chosen as 25x estimated annual
     expenses at that point - see note below)
  Horizon                    26 years (2052)
  Inflated target at 5.5%    Rs 16,06,00,000
    (Rs 16.06 crore - this number is supposed to
     be alarming; it is what inflation does over
     26 years)
  Starting allocation        Rs 16,00,000
  Monthly contribution       Rs 22,000, with a
    10% annual step-up
  Date flexibility           HIGH - this is why
    it can carry equity

  ALLOCATION (horizon 26 yrs; tolerance untested
  so one notch below maximum)
    Indian broad equity           45%
    Indian mid/small equity       10%
    International developed       12%
    Gold                          10%
    Debt (incl. EPF - see below)  23%
  Expected nominal return        ~9.8%
  Worst drawdown for this shape  ~ -38%
    = Rs 1,52,000 of visible loss TODAY on the
      Rs 4,00,000 equity portion; will be
      Rs 1.5 crore+ of visible loss by 2045.
      Written down now so it is not a surprise
      then.

  NOTE ON EPF: employer + employee EPF
  contributions total approximately Rs 21,600
  a month and are already debt. Counting them,
  the TRUE debt allocation of this bucket is
  higher than 23% and the equity contribution
  from fresh money must be correspondingly
  higher. Recomputed: of Rs 22,000 fresh +
  Rs 21,600 EPF = Rs 43,600 total monthly into
```

```
  Goal 3, the EPF is 49.5% and is 100% debt.
  To reach a 67% equity bucket overall, the
  Rs 22,000 of fresh money must be nearly 100%
  equity. THIS IS THE SINGLE MOST COMMONLY
  MISSED ADJUSTMENT IN INDIAN PORTFOLIOS.

  PROJECTION (with EPF, 10% step-up on the
  fresh portion, EPF growing with salary)
    Approximate corpus 2052    Rs 15.4 crore
    vs target Rs 16.06 crore   small shortfall
  RESPONSE: the 10% step-up already does the
  heavy lifting; a 12% step-up closes the gap.
  Review annually - 26-year projections are
  not predictions, they are a direction check.

_____________________________________________

TOTAL MONTHLY COMMITMENT
  Goal 1                       Rs 60,000
  Goal 2                       Rs  8,000
  Goal 3 (fresh)               Rs 22,000
                               __________
                               Rs 90,000
  Plus EPF (automatic)         Rs 21,600
  TOTAL SAVINGS RATE  = 61% of take-home
  (high, because expenses are low and there is
   no EMI; this is the window that closes)

TOTAL HOLDINGS ACROSS ALL THREE BUCKETS: 7
  1 broad Indian equity index exposure
  1 mid/small exposure
  1 international exposure
  1 gold exposure
  1 short-duration debt
  1 target-maturity 2030 instrument
  1 liquid
  (+ EPF, PPF if used, and the separate
   emergency fund)
```

✦ **The three most valuable lines in that plan**

(1) Goal 1 is capped at 10% equity even though the investor has a high risk appetite, because the *date* has no flexibility. **(2)** Goal 2 was reclassified from an investment problem to an insurance problem, which is the correct and much cheaper answer. **(3)** EPF was counted as debt in Goal 3, which changed the required equity share of fresh money from 67% to nearly 100%. Each of these is routinely missed, and each changes the plan materially.

Bucketing versus one pooled portfolio

	Separate buckets	One pooled allocation
Risk matched to horizon	Naturally	Only on average — which means wrong for both the short and long goal
Behavioural effect	Strong — a retirement-bucket fall does not threaten the house	Weak — one number, one emotional reaction
Operational complexity	Slightly higher; 6–8 holdings instead of 4	Lower
Rebalancing	Per bucket; simpler because each bucket has few lines	Across everything; more tax-efficient at the margin
Tax efficiency	Marginally worse — you may sell in one bucket while holding in another	Marginally better
Verdict	**Better for almost everyone**, because the behavioural gain dwarfs the small tax inefficiency	Acceptable only if you have a single horizon

Position Sizing and Concentration Limits

If you run a direct-equity sleeve, position sizing is the only risk control that works without requiring you to be right. Stop-losses require a correct exit decision. Diversification requires a correct count. Position limits require nothing except arithmetic and the discipline to apply them before you are emotionally committed to a name.

The arithmetic of a single position going to zero

TEXT

WHAT A TOTAL LOSS COSTS, BY POSITION SIZE

Portfolio Rs 50,00,000. One holding goes to zero (fraud, terminal regulatory action, insolvency - each has happened in Indian listed markets).

Position size	Loss	Portfolio impact
2%	Rs 1,00,000	-2.0%
5%	Rs 2,50,000	-5.0%
10%	Rs 5,00,000	-10.0%
20%	Rs 10,00,000	-20.0%
35%	Rs 17,50,000	-35.0%
60%	Rs 30,00,000	-60.0%

RECOVERY REQUIRED to get back to even:

-2%	needs +2.0%	(a few weeks)
-5%	needs +5.3%	(a quarter)
-10%	needs +11.1%	(a year)
-20%	needs +25.0%	(2-3 years)
-35%	needs +53.8%	(4-6 years)
-60%	needs +150.0%	(8-12 years, if ever)

The non-linearity is the point. A 5% position failing is a bad quarter. A 35% position failing is a lost decade.

NOW ADD THE SECOND EFFECT: the time you spend recovering is time your OTHER money was not compounding from a higher base. A -35% event at age 32 on a Rs 50,00,000 portfolio, at 10% compounding over the remaining 28 years, costs approximately Rs 2.5 crore of terminal corpus.

Concentration limits worth writing down

Limit	Suggested level for a non-professional	Reasoning
Single stock, maximum	5% of total portfolio	A total loss is survivable. Above 10% a single failure changes your retirement date.
Single stock, starting size	2–3%	Leaves room to add on conviction without breaching the cap, and reflects that your first assessment is your least informed.
Single sector, maximum	20–25% of the equity sleeve	Sector shocks are real and correlated. Count index exposure too.
Employer stock (RSU/ESPP), maximum	10% of portfolio, falling to 0–5% if possible	Your salary, your bonus, your stock and often your sector all depend on one company. This is the largest unacknowledged concentration most engineers carry.
Direct-equity sleeve, maximum	20% of portfolio for a non-professional	The satellite cap from the earlier section
Number of direct holdings	8–20	Below 8, idiosyncratic risk dominates. Above 20, you cannot track them properly and you have reinvented an expensive index fund.
Illiquid positions (thin trading, small caps)	2% each, 8% total	Liquidity vanishes exactly when you want to exit. Size so you never *have* to.
Any position you cannot explain in four sentences	0%	Not a sizing rule, an elimination rule

Employer stock is the concentration you are least likely to see

A software engineer at a listed company with vested RSUs holds: a job whose income depends on the firm; a bonus that depends on the firm; stock in the firm; unvested stock in the firm; often an index that is overweight the firm's sector; and sometimes a city whose rental market depends on the sector. A downturn in that firm or sector hits **all** of these simultaneously. The standard discipline is to **sell each vest promptly and reinvest the proceeds into the policy allocation**, treating vested stock as cash compensation that happened to arrive in share form. The counter-argument — "but it might go up" — is true of everything and is not a reason to hold a concentrated, income-correlated position. Tax on the sale is a cost; a 60% fall in your employer's stock during a hiring freeze is a different kind of cost.

Three sizing methods

Method	How	Strengths	Weaknesses
Equal weight	Every position gets 1/N of the sleeve	Simple, removes the temptation to overweight the most exciting idea, rebalances mechanically	Ignores genuine differences in conviction and in business quality
Conviction tiers	Three tiers, e.g. 5% / 3% / 2%, with written criteria for each tier	Allows differentiation without unbounded concentration; forces you to articulate why a name is tier 1	Conviction is poorly calibrated in beginners and tends to track recent performance
Risk-based	Size so that a defined adverse scenario costs a fixed share of the portfolio	Normalises for how volatile or fragile a business is	Requires estimating a downside scenario, which is where most of the error lives

TEXT

```
RISK-BASED SIZING, WORKED

Rule: no single position may cost more than 1.0%
of the TOTAL portfolio in its realistic bad case.

Portfolio Rs 50,00,000.
Maximum acceptable loss per position:
  1.0% x Rs 50,00,000 = Rs 50,000

POSITION A - a large, stable, cash-generative
business trading at a moderate multiple.
Realistic bad case (multiple de-rates, growth
stalls): -35%
  Position size = Rs 50,000 / 0.35
                = Rs 1,42,857  = 2.9% of
                  portfolio

POSITION B - a small, leveraged, cyclical
business. Realistic bad case: -70%
  Position size = Rs 50,000 / 0.70
                = Rs 71,429  = 1.4% of portfolio

POSITION C - a high-multiple business whose
valuation assumes 25% growth for a decade.
Realistic bad case: -80%
  Position size = Rs 50,000 / 0.80
                = Rs 62,500  = 1.25% of
                  portfolio

OBSERVE what the method does: it automatically
sizes the fragile, exciting positions SMALL and
the boring ones large. That is the opposite of
what enthusiasm does, which is why the rule has
to be written down before you fall in love with
an idea.

A second rule to pair with it: NO AVERAGING DOWN
without a written re-underwriting of the thesis.
Adding to a loser because it is cheaper is how a
2% position becomes an 11% position, and how
position limits are breached without any single
decision ever looking unreasonable.
```

Position sizing across the whole portfolio, not just the sleeve

A 10% position in a 20% direct-equity sleeve is a 2% position in the portfolio, which is fine. But an index fund in the core may already hold that same company at 6% weight, and your employer stock may be the same company again. **Compute concentration at the portfolio level, looking through funds to their holdings.** Fund factsheets disclose full holdings monthly; most research sites will compute your look-through exposure. Doing this once a year is enough, and it routinely surprises people.

Rebalancing — Rules, Honest Benefits, and Tax

Rebalancing is the act of restoring your portfolio to its policy weights by selling what has risen and buying what has fallen. It is the only part of portfolio management that mechanically forces contrarian behaviour, it requires no forecast, and it is widely over-sold as a source of return. Understanding what it actually does — risk control first, return second and only sometimes — is what makes you do it consistently.

What happens if you never rebalance

TEXT

DRIFT OVER 15 YEARS, NO REBALANCING

Start: 60% equity / 40% debt, Rs 20,00,000
Assume equity 11.0% p.a., debt 6.8% p.a.
(smooth, for illustration)

Year	Equity value	Debt value	Equity %
0	Rs 12,00,000	Rs 8,00,000	60.0%
3	Rs 16,41,000	Rs 9,74,000	62.7%
5	Rs 20,22,000	Rs 11,12,000	64.5%
8	Rs 27,65,000	Rs 13,55,000	67.1%
10	Rs 34,06,000	Rs 15,46,000	68.8%
15	Rs 57,39,000	Rs 21,50,000	72.7%
20	Rs 96,72,000	Rs 29,90,000	76.4%

After 20 years an investor who chose 60/40 is running 76/24. Their worst-case drawdown has gone from about -27% to about -41%, and they never decided to take that risk - it accrued.

THE FIRST POINT ABOUT REBALANCING: it is a RISK CONTROL. Without it, your portfolio drifts steadily toward whatever has done best, which is also whatever is now most expensive and most likely to disappoint. Drift concentrates risk silently and always in the same direction.

The three methods

	Calendar	Threshold (bands)	Hybrid
Rule	Rebalance on a fixed date — annually or semi-annually	Rebalance whenever an asset deviates from target by more than X percentage points	Check on a calendar; act only if a band is breached
Trades per decade	10–20	Variable; can be 0 in a calm decade or 6 in one volatile year	Typically 4–10
Captures volatility	Poorly — a crash and recovery between two annual dates is missed entirely	Well — triggers precisely when markets move a lot	Reasonably
Monitoring burden	Lowest	Highest — requires continuous awareness, which invites tinkering	Low
Tax and cost	Predictable; can be timed across financial years	Unpredictable; can trigger multiple short-term gains in a volatile year	Controlled
Behavioural risk	Low	Moderate — "am I at the band yet?" becomes daily checking	Low
Verdict	Fine, and far better than nothing	Theoretically best, practically hazardous for most people	**The sensible default**

✦ **A concrete default policy**

Check quarterly on a fixed weekend. Act only if an asset class is more than **5 absolute percentage points** (or 25% relative) away from its target. Do one unconditional rebalance each April regardless. Direct all new contributions to the most underweight asset in the interim. This gives you roughly the risk control of a band policy with roughly the trade count and tax profile of a calendar policy.

The "rebalancing bonus," examined honestly

You will read that rebalancing adds return. Sometimes it does. The mechanism is real but narrow, and the conditions under which it works are frequently absent.

Condition	Effect on the rebalancing bonus
Assets have **similar long-run returns** and **low correlation** and are **mean-reverting**	Bonus is positive and can be 0.2–0.7 percentage points a year. This is the textbook case.
One asset has a **persistently higher return** (e.g. equity over debt across a long bull period)	Rebalancing is a **drag** on return, because you repeatedly sell the better asset. It still reduces risk, which is the real justification.
Assets are **trending** rather than mean-reverting	Rebalancing hurts. You cut winners early in a sustained trend.
Correlations are high	Little to rebalance between; bonus near zero.
Taxes and costs apply	Directly subtracted. In a taxable Indian account this can exceed the entire theoretical bonus.

TEXT

```
REBALANCING: RETURN EFFECT, TWO REGIMES

Portfolio 60/40, Rs 10,00,000, 10 years.

REGIME 1 - choppy, mean-reverting equity
(equity returns alternate roughly +25%, -15%)
  Never rebalanced   final  Rs 19,40,000
  Annual rebalance   final  Rs 20,65,000
  REBALANCING ADDED  +Rs 1,25,000 (+0.63%/yr)

REGIME 2 - sustained equity bull market
(equity +14% every year, debt +6.8%)
  Never rebalanced   final  Rs 28,70,000
  Annual rebalance   final  Rs 27,20,000
  REBALANCING COST   -Rs 1,50,000 (-0.53%/yr)

  BUT: the never-rebalanced portfolio ended at
  74% equity and would fall about 38% in a
  crash, versus about 27% for the rebalanced
  one. You bought 11 percentage points of
  drawdown protection for 0.53% a year.

CONCLUSION: rebalance for RISK CONTROL. Treat any
return benefit as a bonus you may or may not get.
Anyone who sells you rebalancing as a reliable
return enhancer is overstating a narrow result.

All figures illustrative arithmetic on assumed
return paths.
```

Tax-aware rebalancing — use inflows, not sales

In a taxable Indian account, every rebalancing sale is a realisation event. The order of preference is therefore strict, and following it eliminates most rebalancing tax in the accumulation phase.

1. **Route new contributions**
   Direct the entire monthly SIP to the underweight asset until the band is restored. Zero tax, zero cost. This alone handles most drift for anyone still contributing meaningfully relative to corpus size.

2. **Route lumpy inflows**
   Bonus, variable pay, maturing FD, RSU sale proceeds, tax refund. Same effect, larger.

3. **Stop contributions to the overweight asset**
   Even without redirecting, halting inflow to the overweight sleeve slows drift.

4 **Rebalance inside tax-sheltered vehicles first**

Reallocating within NPS, or adjusting EPF/PPF contribution levels, changes the portfolio mix without a taxable event. NPS allows asset-mix changes subject to PFRDA rules — **verify current limits and frequency at pfrda.org.in**

.

5 **Harvest the exemption**

If a sale is needed, size it so realised long-term gains on listed equity stay within the **s.112A exemption of ₹1,25,000 (125,000 rupees) per financial year — as at FY 2025-26, verify**

.

6 **Select lots deliberately**

Indian mutual fund redemptions are generally FIFO, which may not be what you want. Across multiple folios or demat lots you have some control. Prefer selling units with the highest cost basis, and prefer long-term over short-term lots.

7 **Harvest losses against the gains**

If you hold a position at a loss, realising it in the same year offsets the gain. Observe the set-off rules: short-term capital loss sets off against both STCG and LTCG; long-term capital loss sets off only against LTCG. See the tax guide.

8 **Only then sell**

And when you do, split across two financial years if the amount is large and the band permits.

A fully worked rebalance

TEXT

```
PORTFOLIO REBALANCE - 05 APRIL 2027
Investor: salaried, 30% tax bracket, taxable
account (no tax-sheltered room available for
this portion).

TARGET POLICY          TARGET   BAND
  Indian broad equity    45%   40-50%
  Indian mid/small       10%    5-15%
  International          12%    7-17%
  Gold                   10%    5-15%
  Debt (short duration)  23%   18-28%

CURRENT POSITION (after a strong equity year)
  Asset               Value        Weight  Band?
  ------------------------------------------------
  Indian broad    Rs 28,60,000     47.7%   OK
  Mid/small       Rs 10,20,000     17.0%   BREACH
                                           (+7.0)
  International   Rs  5,40,000      9.0%   OK
  Gold            Rs  4,80,000      8.0%   OK
  Debt            Rs 10,96,000     18.3%   OK
                  ------------
  TOTAL           Rs 59,96,000    100.0%

Only ONE band is breached: mid/small at 17.0%
vs a 15% upper band.

STEP 1 - CAN NEW INFLOWS FIX IT?
  Monthly contribution Rs 70,000.
  To bring mid/small from 17.0% to 10.0% by
  dilution alone, total portfolio must grow to
  Rs 10,20,000 / 0.10 = Rs 1,02,00,000.
  That is Rs 42,04,000 of new money = 60 months.
  TOO SLOW. Dilution alone will not work when a
  sleeve is this far above target on a corpus
  this large relative to contributions.

STEP 2 - PARTIAL FIX BY INFLOW, THEN SELL
  Redirect 100% of the next 3 months' Rs 70,000
  (Rs 2,10,000) away from mid/small.
  Projected mid/small weight in 3 months,
  assuming flat markets: 16.4%. Still breached.
  Proceed to a sale.

STEP 3 - SIZE THE SALE
  Target mid/small value = 10% of portfolio.
  If we sell X from mid/small and buy debt:
    (10,20,000 - X) / 59,96,000 = 0.10
```

```
    X = Rs 4,20,400
  To get only back inside the band (15%):
    X = Rs 1,21,400
  DECISION: rebalance to the 15% BAND EDGE, not
  to the 10% target. Rationale: minimise the
  taxable event while restoring compliance.
  This is a deliberate, documented choice.
  SELL Rs 1,25,000 of mid/small.

STEP 4 - LOT SELECTION AND TAX
  Mid/small holding, lot detail:
    Lot 1  purchased Mar-2021  cost Rs 2,00,000
           current value Rs 5,10,000
           unrealised gain Rs 3,10,000  LONG
    Lot 2  purchased Aug-2024  cost Rs 3,40,000
           current value Rs 3,60,000
           unrealised gain Rs 20,000    LONG
           (held > 12 months)
    Lot 3  purchased Nov-2026  cost Rs 1,60,000
           current value Rs 1,50,000
           unrealised LOSS Rs 10,000    SHORT

  Preferred: sell the HIGHEST cost basis first
  to minimise realised gain.

  PLAN:
    Sell all of Lot 3:  Rs 1,50,000 proceeds
      realised SHORT-TERM CAPITAL LOSS Rs 10,000
    That alone exceeds the Rs 1,25,000 needed.
    Sell Rs 1,50,000 of Lot 3 only.

  TAX OUTCOME
    Realised STCL                  Rs 10,000
    Realised LTCG                  Rs      0
    Tax payable on this rebalance  Rs      0
    PLUS the Rs 10,000 STCL is carried into the
    year's set-off pool and can offset other
    gains, under s.70/s.74 rules.

  Note: redemption ordering in Indian mutual
  funds is generally FIFO within a folio, so
  "selling Lot 3" may require that the lot sits
  in a separate folio or demat holding. PLAN FOR
  THIS IN ADVANCE by keeping separate folios for
  tranches you may want to sell independently.
  Verify your AMC's and depository's actual
  ordering rules before relying on lot selection.

STEP 5 - DEPLOY THE PROCEEDS
```

```
  Rs 1,50,000 to the most underweight asset.
  Gold at 8.0% vs 10% target is the most
  underweight in relative terms (-20% relative).
  BUY Rs 1,50,000 of gold exposure.

POST-REBALANCE POSITION
  Indian broad    Rs 28,60,000     47.7%   OK
  Mid/small       Rs  8,70,000     14.5%   OK
  International   Rs  5,40,000      9.0%   OK
  Gold            Rs  6,30,000     10.5%   OK
  Debt            Rs 10,96,000     18.3%   OK
                  ------------
  TOTAL           Rs 59,96,000    100.0%

TRANSACTION COSTS
  Redemption of a mutual fund unit: exit load if
    any (check the scheme document), stamp duty
    does not apply on redemption, STT applies to
    equity-oriented scheme redemptions at the
    prescribed rate.
  Purchase: stamp duty at the prescribed rate on
    issue of units, plus any applicable charges.
  Estimated all-in cost of this rebalance:
    well under Rs 1,000 on Rs 1,50,000.
  Verify current STT and stamp duty rates at
  incometax.gov.in and the scheme documents.

TIME TAKEN: 35 minutes, once a quarter.
TAX PAID: zero, by design.
```

> **Rebalance to the band edge, not to the target**
> Restoring all the way to target maximises the taxable event and the trade cost for a marginal risk benefit. Restoring to the *nearest band edge* achieves compliance with the policy at the lowest cost. Write which one you do into the IPS so it is not a fresh decision each time — and note the one exception: at the unconditional annual rebalance, going all the way to target is cleaner and keeps drift from accumulating.

Rebalancing during a crash

The hardest rebalance is the one that requires buying equity after it has fallen 40%. It is also the one with the largest effect. Three practical supports:

PRE-COMMIT NUMERICALLY

The IPS drawdown protocol should say exactly what you buy at −20%, −30% and −40%, in rupees or percentages. A decision made in advance is executed; a decision made in the moment is deferred.

AUTOMATE WHAT YOU CAN

A standing instruction that continues regardless of the market is the single most effective structure. The decision you do not have to make is the decision you cannot get wrong.

STAGE THE DEPLOYMENT

Splitting the rebalancing purchase into three tranches over six weeks is slightly suboptimal mathematically and substantially better psychologically, because it removes the "what if it falls more tomorrow" paralysis.

When to Sell — the Legitimate Reasons

Most selling is a reaction dressed as a decision. There are, however, genuinely good reasons to sell, and the discipline is to know them in advance so you can test any impulse against the list. If the reason you are considering is not on the list, the correct action is to wait thirty days and write down what has actually changed about the next twenty years.

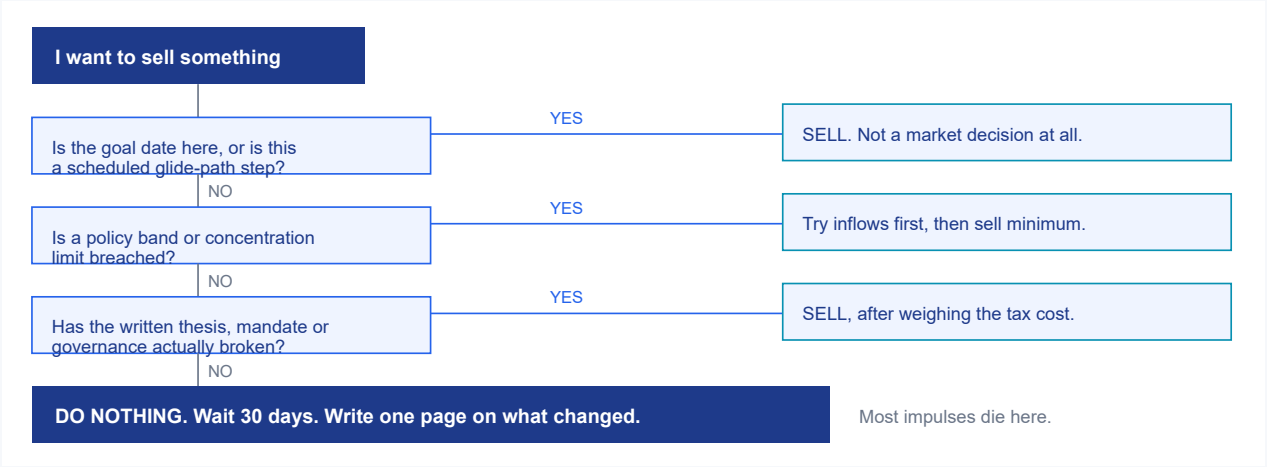
The legitimate reasons

Reason	Applies to	Test
1. You need the money for the goal it was saved for	Everything	Is the goal date here? Then sell. This is not a market decision at all.
2. Rebalancing requires it	Everything	Is a band breached and can inflows not fix it? Then sell the minimum required.
3. The glide path requires it	Dated goals	Is this the pre-written year for reducing equity? Then do it on schedule, not on sentiment.
4. The original thesis is broken	Direct equity, active funds	Write the thesis down at purchase. Sell when a specific, pre-identified element of it fails — not when the price falls.
5. The vehicle changed materially	Funds	Mandate change, merger into a different category, a change in the stated process, expense ratio rising materially, or a fund growing so large that its stated strategy is no longer executable.
6. A governance or integrity red flag	Direct equity	Auditor resignation, repeated restatements, undisclosed related-party dealings, regulatory action on the promoter. These are sell-first-investigate-later events.
7. Tax-loss harvesting with an immediate repurchase intent	Taxable positions at a loss	Realising a loss to offset gains, with the allocation restored. Note that India has no statutory "wash sale" rule as such, but a transaction with no commercial substance can be challenged — **take professional advice and verify current law**.
8. A concentration limit is breached	Direct equity, employer stock	Position above 5%, employer stock above 10%, sector above 25%. Mechanical.
9. Your circumstances changed	Everything	Job loss, illness, a dependant, a divorce, an inheritance, a change in horizon. The allocation serves the life, not the other way round.
10. You found something strictly better for the same role	Funds	Same asset class, materially lower cost, no meaningful difference otherwise. Weigh against the capital gains cost of switching — frequently the tax exceeds the saving.

The illegitimate reasons

Reason	Why it fails
"The market has fallen a lot"	This is the condition under which future expected returns are *higher*, not lower. Selling here converts a paper loss into a permanent one and forfeits the recovery.
"The market has risen a lot and looks expensive"	Markets can stay expensive for years. Rebalancing already trims the winner mechanically; a discretionary exit is a timing bet with two required correct decisions.
"I want to wait until there is more clarity"	Clarity is priced. By the time the news is unambiguous, the move has happened. "Clarity" almost always arrives 20–40% above where you sold.
"A respected commentator said to"	You do not know their position, their horizon, their incentives, or whether they will tell you when they change their mind. See the sources guide on conflict of interest.
"It is up 30% and I want to book profits"	Booking profits means paying tax to convert a compounding asset into cash that must be redeployed, usually at a higher price. The "profit" is not more real for having been realised.
"It has been flat for three years"	Three years is noise for an asset class and often for a business. If the thesis is intact, time is a cost you agreed to pay.
"I need to do something"	The most expensive sentence in investing. The answer is to do something else — go for a walk, update the tracker, read a filing — not to trade.
"An election / budget / war / rate decision is coming"	Known events are priced. The outcome is uncertain; your ability to predict both the outcome and the market's reaction to it is close to zero.

A sell decision tree



Run every sell impulse through the same four questions. If none of them produces a yes, the impulse is sentiment, and sentiment has a documented record of selling at lows.

Measuring Performance Properly

Almost every number an investor quotes about their own returns is wrong, usually flatteringly so. "My portfolio is up 40%" conflates absolute return with annualised return, ignores the timing of contributions, and is measured against nothing. There are four different measures, each answering a different question, and using the wrong one leads to the wrong conclusions about whether your plan is working.

The four measures

Measure	Answers	Use when	Fails when
Absolute return	"How much more money do I have?"	Single lump sum, single period, no cash flows	Any multi-period or multi-cash-flow situation. Says nothing about rate.
CAGR (compound annual growth rate)	"At what constant annual rate did a single lump sum grow?"	One investment, one entry, one exit	SIPs, top-ups, withdrawals — i.e. almost every real portfolio
XIRR (extended internal rate of return)	"What annualised rate did *my actual money*, invested on *my actual dates*, earn?"	Any portfolio with irregular contributions and withdrawals	Comparing managers, because it is affected by *your* timing decisions, not just theirs
TWRR (time-weighted rate of return)	"How did the underlying investment perform, stripping out the effect of cash-flow timing?"	Judging a fund, a manager or an index — which is why published fund returns are TWRR	Telling you what *you* actually earned

> **The one-line distinction**
>
> **XIRR measures you. TWRR measures the investment.** If your fund's published return is 14% and your XIRR in that fund is 9%, the fund did not lie — your contribution timing (or your interruptions) cost you 5 percentage points. That gap is the single most useful number in personal investing, because it is the part you control. It is usually called the "investor return gap," and across markets it is persistently negative.

Absolute versus CAGR, worked

TEXT

```
WHY "UP 85%" MEANS NOTHING ON ITS OWN

Invested Rs 5,00,000. Now worth Rs 9,25,000.
Absolute return = (9,25,000 / 5,00,000) − 1
                = 85.0%

  If that took 3 years:
    CAGR = (9,25,000/5,00,000)^(1/3) − 1
         = 22.8% p.a.    EXCELLENT
  If that took 7 years:
    CAGR = 9.2% p.a.     ORDINARY
  If that took 12 years:
    CAGR = 5.3% p.a.     POOR − below the
           return on a fixed deposit, and
           likely below inflation

SAME 85%. THREE COMPLETELY DIFFERENT OUTCOMES.

Always state the period. "Up 85%" without a
period is not a performance statement, it is
a marketing statement.
```

Why CAGR breaks on a SIP

TEXT

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THE CAGR TRAP ON A SIP

Rs 10,000 per month for 5 years.
Total invested = Rs 6,00,000.
Final value     = Rs 8,40,000.

NAIVE CAGR CALCULATION (wrong, but common):
  (8,40,000 / 6,00,000)^(1/5) - 1 = 6.97% p.a.

WHY IT IS WRONG: the first instalment was
invested for 60 months. The last instalment was
invested for 1 month. Treating Rs 6,00,000 as if
it were all invested on day one massively
understates the return.

AVERAGE HOLDING PERIOD of a 60-month SIP is
approximately 30.5 months, not 60.

CORRECT ANSWER - XIRR:
  60 outflows of Rs 10,000 on the 1st of each
  month, one inflow of Rs 8,40,000 at the end.
  XIRR = 13.2% p.a.

The naive method said 6.97%. The truth is 13.2%.
An investor using the naive method would
conclude their equity SIP had underperformed a
fixed deposit, and might stop it.

THE REVERSE ERROR is equally common: quoting
"total gain Rs 2,40,000 on Rs 6,00,000 = 40%
return" and feeling it was a great five years,
without annualising at all.

ALWAYS USE XIRR FOR A PORTFOLIO WITH CASH FLOWS.
```

A full XIRR calculation on an irregular portfolio

TEXT

XIRR - WORKED FROM FIRST PRINCIPLES

XIRR finds the rate r that makes the net present
value of all dated cash flows equal to zero:

  sum over i of CF_i / (1+r)^(d_i/365) = 0

where d_i is days from the first cash flow.
Outflows (money you put in) are NEGATIVE.
Inflows (redemptions, and the final value
treated as a notional inflow today) are POSITIVE.

THE CASH FLOWS - a real-looking portfolio

Date	Cash flow	Note
05-Apr-2021	-2,00,000	initial lump sum
05-May-2021	-25,000	monthly SIP begins
05-Jun-2021	-25,000	
05-Jul-2021	-25,000	
05-Aug-2021	-25,000	
05-Sep-2021	-25,000	
05-Oct-2021	-25,000	
05-Nov-2021	-25,000	
05-Dec-2021	-25,000	
05-Jan-2022	-25,000	
05-Feb-2022	-25,000	
05-Mar-2022	-25,000	
20-Mar-2022	-1,50,000	annual bonus
05-Apr-2022	-30,000	SIP stepped up
... (continues monthly at 30,000) ...		
05-Mar-2023	-30,000	
18-Mar-2023	-1,80,000	bonus
12-Jul-2023	+1,00,000	WITHDRAWAL for a family expense
05-Apr-2023	-33,000	SIP stepped up
... (continues monthly at 33,000) ...		
05-Mar-2024	-33,000	
22-Mar-2024	-2,10,000	bonus
05-Apr-2024	-36,000	
... (continues monthly at 36,000) ...		
05-Mar-2025	-36,000	
19-Mar-2025	-2,40,000	bonus
05-Apr-2025	-40,000	
... (continues monthly at 40,000) ...		
05-Mar-2026	-40,000	
31-Mar-2026	+28,45,000	CURRENT VALUE, entered as a

```
                              positive flow

SUMMARY
  Total invested (sum of outflows) 22,88,000
  Total withdrawn                   1,00,000
  Current value                    28,45,000
  Net gain                          6,57,000
  Naive "return"  6,57,000/22,88,000 = 28.7%
    over 5 years → looks like 5.2% p.a.
    THIS IS WRONG.

  XIRR = 13.8% p.a.

HOW TO COMPUTE IT
  Spreadsheet: put dates in column A, amounts in
  column B, then
     =XIRR(B1:B70, A1:A70)
  (Google Sheets and Excel both have XIRR.
   LibreOffice has it in the analysis add-in.)

  Python (no external libraries beyond a solver):

    from datetime import date

    def xnpv(rate, flows):
        t0 = flows[0][0]
        return sum(cf / (1.0 + rate) **
                   ((d - t0).days / 365.0)
                   for d, cf in flows)

    def xirr(flows, lo=-0.99, hi=10.0,
             tol=1e-7):
        for _ in range(300):
            mid = (lo + hi) / 2.0
            v = xnpv(mid, flows)
            if abs(v) < tol:
                return mid
            if v > 0:
                lo = mid
            else:
                hi = mid
        return (lo + hi) / 2.0

    flows = [
        (date(2021, 4, 5), -200000),
        (date(2021, 5, 5),  -25000),
        #  ...  all flows  ...
        (date(2026, 3, 31), 2845000),
    ]
```

```
    print(round(xirr(flows) * 100, 2))

SANITY CHECKS BEFORE YOU TRUST AN XIRR
  - the first flow must be negative
  - there must be at least one positive flow
  - the final portfolio value must be included
    as a positive flow dated today
  - dividends RECEIVED IN CASH are positive
    flows; dividends REINVESTED are not flows
    at all (they are already in the value)
  - a switch between two funds is not a cash
    flow at the PORTFOLIO level, only at the
    individual-fund level
  - XIRR can fail to converge or return a
    nonsense value if the flow signs alternate
    many times; check the result is plausible
```

⚠ **Two XIRR mistakes that produce wildly wrong numbers**

(1) Forgetting to include the current value as a final positive flow. Without it the function has only negative flows and either errors or returns nonsense. **(2) Double-counting a switch.** If you redeem from fund A and subscribe to fund B on the same day, that is two flows in the individual fund records but *zero* net flow at the portfolio level. Including both at portfolio level inflates the invested amount and understates the return.

Benchmarking — against what, exactly

Portfolio component	Appropriate benchmark	Common error
Indian broad-market equity sleeve	A broad-market **Total Return Index** (TRI) for the same universe	Comparing against the price index, which excludes dividends and understates the benchmark by roughly 1–1.5 percentage points a year
Mid/small sleeve	The corresponding mid or small cap TRI	Benchmarking a mid-cap sleeve against a large-cap index and concluding you are a genius in a mid-cap bull market
International sleeve	The relevant developed-market index, **converted to INR**	Comparing an INR-denominated return against a USD-denominated index return
Debt sleeve	A debt index of comparable duration and credit quality, or simply the prevailing FD rate	Comparing the debt sleeve to equity and concluding it has "failed"
The whole portfolio	A **blended benchmark** — the weighted sum of each sleeve's benchmark at policy weights	Comparing a 65/35 portfolio to a pure equity index. You will "underperform" in every bull market by construction, which tells you nothing and tempts you to raise equity at exactly the wrong time.
Your actual experience	The blended benchmark's TWRR versus your XIRR	Not measuring the gap at all, and therefore never discovering that your timing is costing you 3 percentage points a year

TEXT

```
CONSTRUCTING A BLENDED BENCHMARK

Policy weights:
  Indian broad equity       45%
  Indian mid/small          10%
  International developed   12%
  Gold                      10%
  Debt                      23%

For the year, suppose the relevant TOTAL RETURN
indices (not price indices) returned:
  Indian broad TRI         +14.2%
  Indian midcap TRI        +21.6%
  Developed mkt in INR     + 9.8%
  Gold in INR              +11.4%
  Short-duration debt idx  + 7.1%

Blended benchmark return
  = 0.45(14.2) + 0.10(21.6) + 0.12(9.8)
    + 0.10(11.4) + 0.23(7.1)
  = 6.39 + 2.16 + 1.18 + 1.14 + 1.63
  = 12.50%

YOUR portfolio's TWRR for the year: 11.80%
  → underperformed the blend by 0.70pp
     This is roughly your cost drag plus
     tracking difference plus any selection
     effect. 0.70pp is a reasonable outcome for
     a low-cost portfolio; above 1.5pp,
     investigate your expense ratios.

YOUR XIRR for the year: 9.60%
  → 2.20pp below your own TWRR
     This gap is NOT the market's fault and NOT
     your funds' fault. It is cash-flow timing:
     you invested the bonus after the rally and
     paused the SIP in the February wobble.
     THIS IS THE NUMBER TO WORK ON.

Index returns above are illustrative. Use the
actual TRI values published by the index
provider for your period.
```

Risk-adjusted measures

Measure	Formula (conceptually)	What it tells you	Limitation
Standard deviation	Dispersion of periodic returns	How bumpy the ride was	Treats upside and downside volatility identically; nobody complains about upside
Sharpe ratio	(return − risk-free) / standard deviation	Excess return per unit of total volatility	Assumes roughly symmetric returns; penalises upside; unreliable over short periods
Sortino ratio	(return − target) / downside deviation	Excess return per unit of *downside* volatility	More sensible than Sharpe for most investors; still needs long series
Maximum drawdown	Largest peak-to-trough fall	The number that actually governs behaviour	Backward-looking; the next one can be worse
Time to recovery	Months from trough back to the prior peak	How long you had to tolerate being down — often more important than the depth	Path-dependent
Beta	Sensitivity to the benchmark	How much market risk you carry	Unstable; says nothing about non-market risk
Alpha	Return not explained by beta	Claimed skill	Needs many years of data to distinguish from luck; frequently just an unacknowledged factor exposure

✦ **The two numbers worth tracking for a retail portfolio**

Forget Sharpe and alpha. Track **(a) your XIRR versus your blended benchmark's TWRR**, which isolates the cost of your own behaviour, and **(b) your maximum drawdown**, which tells you whether your allocation is honestly within your tolerance. Everything else is institutional apparatus that will not change a single decision you make.

Tracking — the Spreadsheet, the CAS, and What to Record

You cannot manage what you do not measure, and you cannot measure what you did not record at the time. The entire tracking apparatus for a well-built retail portfolio fits in one spreadsheet with five tabs, takes twenty minutes a month, and is worth building the week you start rather than the year you need it.

The Consolidated Account Statement

India has unusually good retail infrastructure for seeing what you own. Use it rather than relying on broker apps, each of which shows only its own slice.

Statement	Covers	How to get it	Frequency
CAS from CAMS / KFintech	All mutual fund folios across AMCs serviced by that registrar, mapped by PAN or email	Request from the registrar's website (**camsonline.com**, **kfintech.com**) — a consolidated statement with capital gains detail is available	Monthly or on demand; the capital-gains statement is essential each March/April
CAS from NSDL / CDSL	Demat holdings (shares, ETFs, bonds, demat-held mutual fund units) plus, in the consolidated version, mutual fund holdings across registrars	Issued by the depository to your registered email; also available on request from **nsdl.co.in** / **cdslindia.com**	Monthly where there are transactions; at least half-yearly otherwise
MF Central	A single view of mutual fund holdings across both registrars, with service requests	**mfcentral.com** — a joint CAMS/KFintech platform	On demand
Broker contract notes and P&L	Every trade, with all charges itemised	Broker back office	Daily contract note; annual P&L and tax statement each April–June
Annual Information Statement (AIS) / TIS	What the tax department has been told about your transactions by banks, brokers, registrars and companies	Income-tax portal at **incometax.gov.in**	Check at least once before filing; ideally in January too
Form 26AS	TDS credited against your PAN	Income-tax portal	Before filing
EPF passbook	Employer and employee EPF contributions and interest	EPFO member portal	Annually, to count EPF as part of the debt allocation
NPS statement	NPS holdings by scheme and asset class	CRA portal	Annually

Do this once, this week

Request a consolidated statement by PAN across **all** your email addresses. Almost everyone who has invested for more than five years discovers at least one forgotten folio, one old demat account, or one set of units bought in a parent's name with their own money. The tax guide covers unclaimed assets and the IEPF route for genuinely lost holdings.

The portfolio tracker — five tabs

TEXT

```
TAB 1 - TRANSACTIONS  (the only tab you type in)
One row per cash movement, ever. Never delete a
row; correct by adding a reversing row.

 Date | Goal | Asset class | Instrument type |
 Folio/account | Type (BUY/SELL/DIV/CHARGE) |
 Units | NAV or price | Amount | Charges |
 Net amount | Notes

Example rows:
 05-Apr-2026 | G3 | IN-EQ-BROAD | index fund |
   FOLIO-A1 | BUY | 412.371 | 121.25 | 50,000 |
   5 | 50,005 | monthly SIP
 05-Apr-2026 | G3 | GOLD | gold ETF |
   DEMAT-1 | BUY | 142 | 70.40 | 9,997 |
   18 | 10,015 | monthly
 12-Jul-2026 | G1 | DEBT-SHORT | debt fund |
   FOLIO-B2 | SELL | 1,240.11 | 24.18 | 29,986 |
   0 | 29,986 | goal withdrawal

RULES
 - Charges column includes brokerage, STT,
   exchange charges, SEBI fee, stamp duty, GST,
   DP charges. Capturing them makes your real
   return visible.
 - Never overwrite. The history IS the asset.
 - Goal column lets you compute per-goal XIRR.

TAB 2 - HOLDINGS  (computed, not typed)
 Instrument | Asset class | Goal | Units |
 Avg cost | Invested | Current NAV | Current
 value | Unrealised gain | Holding period |
 Tax status (ST/LT) | Weight %

Pull current NAV/price with a lookup, or paste
it monthly. Holding period drives the tax status
column, which is what you consult before any
sale. Flag anything within 45 days of crossing
from short-term to long-term in a separate
colour - that is often worth waiting for.

TAB 3 - ALLOCATION  (the one you actually read)
 Asset class | Target % | Band low | Band high |
 Current value | Current % | Drift (pp) |
 In band? | Rupees to rebalance

 Asset class      Tgt  Low  High   Current  Drift
 ____________________________________________
```

```
 IN-EQ-BROAD      45%  40%  50%     47.7%   +2.7
 IN-EQ-MIDSMALL   10%   5%  15%     17.0%   +7.0 X
 INTL-EQ          12%   7%  17%      9.0%   -3.0
 GOLD             10%   5%  15%      8.0%   -2.0
 DEBT             23%  18%  28%     18.3%   -4.7

Add a row for EPF/PPF/NPS so the TRUE debt
weight is visible. Add a row for employer stock
so the TRUE concentration is visible.

TAB 4 - CASH FLOWS AND XIRR
 Date | Amount (negative = invested) | Goal
Plus, at the bottom, the current value of each
goal as a positive flow dated today, and:
   portfolio XIRR  =XIRR(range)
   per-goal XIRR   =XIRR(filtered range)
   benchmark TWRR  (entered manually from
                    published index TRI data)
   gap             = XIRR - benchmark TWRR

TAB 5 - LOG  (prose, not numbers)
 Date | What I did | Why | What I expected |
 How I felt
This is the tab that pays for itself. Reading
your own entry from the bottom of a bear market
three years later is the most effective
behavioural training available, and it costs
nothing.
```

> **Why the charges column matters more than it looks**
>
> Ten trades a month at ₹250 of all-in cost is ₹30,000 a year. On a ₹20 lakh (2,000,000 rupee) portfolio that is 1.5% a year — larger than most expense ratios and invisible unless recorded. Costs you can see, you reduce. The tax guide itemises the full transaction cost stack by segment.

What to record at purchase — the thesis note

TEXT

```
THESIS NOTE - written at PURCHASE, never after
(one per direct-equity position and per active
fund; not needed for index exposure)

Date:                 14-Jun-2026
Instrument type:      direct equity
Position size:        2.5% of portfolio
Sleeve:               satellite

WHY I AM BUYING (three sentences maximum)

WHAT I EXPECT
  Over what period:   4-6 years
  Rough expectation:  earnings compounding in
                      the low teens with a
                      stable multiple
  What I am paying:   [multiple / yield /
                      whatever metric applies]

WHAT WOULD MAKE ME WRONG (be specific - this is
the only part that matters later)
  1. [Specific operating metric deteriorating
     for 3 consecutive quarters]
  2. [Leverage rising above a stated level]
  3. [A named competitive or regulatory event]
  4. Any governance red flag: auditor
     resignation, restatement, undisclosed
     related-party transaction

WHAT WOULD **NOT** MAKE ME WRONG
  - The price falling 30% with no change to
    points 1-4
  - A bad quarter driven by a one-off
  - A fall in the overall market
  - Somebody on the internet disagreeing

REVIEW TRIGGER: each annual report, each
quarterly result, and immediately on any item
in the "wrong" list.

MAXIMUM SIZE I WILL EVER ALLOW: 5%
I WILL NOT AVERAGE DOWN without rewriting this
entire note from scratch.
```

The Annual Review

Once a year, for two hours, you look at everything properly. The rest of the year you look at almost nothing. The review has a fixed agenda, a fixed order and a fixed output, and critically it separates **reviewing the plan** (allowed) from **reacting to returns** (not allowed).

The agenda, in order

1. **Life facts first, before any number**
   Income, job stability, dependants, health, planned major expenses, horizon changes. Do this *before* opening the portfolio so the numbers do not colour the assessment. A new dependant or a planned sabbatical changes the allocation; a good year does not.

2. **Insurance and emergency fund**
   Is term cover still adequate for current liabilities and income replacement? Has health cover kept pace with medical inflation? Is the emergency fund still 6–12 months of *current* expenses, which have probably risen?

3. **Savings rate**
   Compute actual savings as a percentage of take-home for the year just ended. This is the number with the most leverage. Apply the step-up before lifestyle absorbs the increment.

4. **Goal progress**
   For each goal: required corpus, current corpus, projected corpus at the current contribution and assumed return, gap. Adjust contributions, not allocations, to close gaps.

5. **Allocation versus policy**
   Drift per asset class, including EPF/PPF/NPS as debt and employer stock as equity concentration. Rebalance per the policy.

6. **Performance measurement**
   Portfolio XIRR, blended benchmark TWRR, the gap, maximum drawdown experienced during the year. Satellite scorecard versus the core counterfactual.

7. **Cost audit**
   Total expense ratios of every holding, total transaction charges for the year, any regular-plan holdings that should be direct, any accounts charging maintenance fees you forgot about.

8. **Tax review**

Realised gains and losses for the year, carry-forward losses available, whether the s.112A exemption was used, advance-tax position. Do this in **February**, not March, so there is time to act.

9 **Holdings audit**

Does every holding still have a job? Any overlap that has crept in? Any position that breaches a concentration limit? Any fund whose mandate changed?

10 **Housekeeping**

Nominations on every account. KYC status. Contact details current. The document file findable by someone other than you.

11 **Read last year's log**

What did you believe twelve months ago? What did you do? What did it cost or earn? This is the only reliable calibration available.

12 **Write the new log entry and re-sign the IPS**

Including any amendments, with their justifications, which may not reference recent market performance.

⚠ **The annual review is not the place to change your mind about equity**

The failure mode of an annual review is using it as a licence to make the change you have wanted to make all year. Guard against it mechanically: **allocation changes require a life-fact change, documented in step 1, written before the portfolio was opened.** If step 1 is blank, step 5 cannot change targets — only restore them.

The quarterly check, by contrast

	Quarterly check	Annual review
Duration	20 minutes	2 hours
Look at	Allocation drift only	Everything on the agenda above
May change	Nothing except restoring bands	Contribution amounts; targets only on a documented life change
Do not look at	Returns, news, anyone's opinion	—
Output	Rebalance or no action; one log line	Updated IPS, updated projections, a written log entry

Behavioural Rules That Protect the Plan

Every structural element of this guide exists because of one empirical observation: investors reliably earn less than the investments they own, and the gap is behavioural. The rules below are not motivational; they are engineering. Each one removes a decision from a moment when you will decide badly.

The rules

Rule	What it prevents	Implementation
Write it down	Retroactive rewriting of what you intended	The IPS, the thesis notes, the log. A plan that exists only in your head is whatever you feel today.
Automate everything automatable	The monthly "should I invest this month?" decision	Standing instructions for SIPs, dated for a day or two after salary credit, with an annual step-up.
Pre-commit to crash behaviour	Panic selling	The numeric drawdown protocol in the IPS, written in calm conditions, with a 30-day waiting period before any deviation.
Reduce check frequency	Myopic loss aversion — the more often you look, the more losses you see, the more risk-averse you become	Delete the app from your phone's home screen. Quarterly checks. Annual review. Nothing in between.
Impose a cooling-off period	Impulse trades	30 days between wanting to do something and doing it. Most impulses do not survive the wait, and the ones that do are usually sound.
Cap the satellite	The itch spreading to the core	A hard percentage cap, never topped up from the core, measured against the core counterfactual.
Pay yourself first	Saving whatever is left, which is nothing	Investment transfers dated before discretionary spending, not after.
Pre-commit the increment	Lifestyle absorbing every raise	Decide, before the appraisal, what percentage of the increase goes to the step-up. Execute in the same week the raise lands.
Keep a decision log	Hindsight bias — "I knew that would happen"	Tab 5. Record the expectation at the time. You will be humbled, which is the point.
Name an accountability	Private panic	One person who knows your plan and will ask the awkward question.

partner		
Separate the gambling money	Contaminating the portfolio with the entertainment budget	If you must trade or speculate, a separate account, with money written off in advance, excluded from the portfolio entirely.
Refuse to act on anything you cannot explain	Products sold rather than bought	Four sentences, to a non-investor, without jargon. If you cannot, you do not understand it well enough to own it.

The specific biases that cost Indian retail investors the most

RECENCY AND PERFORMANCE CHASING

Money flows into whichever category just performed best — small caps after a small-cap run, thematic funds at the top of a theme. The flows peak near the top because that is when the past returns look best. Protection: fixed policy weights, and the rule that you may never add a holding because of its recent return.

LOSS AVERSION AND THE DISPOSITION EFFECT

Selling winners to "book profits" while holding losers to "avoid booking the loss." This is tax-inefficient in both directions and systematically keeps the worst holdings. Protection: thesis-based selling, and the explicit recognition that a loss is already real whether or not you have realised it.

ACTION BIAS

In conditions of uncertainty, doing something feels better than doing nothing, regardless of expected value. Markets reward inaction more often than any other activity in life. Protection: the 30-day rule, and having a designated non-portfolio activity for when the urge arrives.

OVERCONFIDENCE AFTER EARLY SUCCESS

Anyone whose first two investing years coincided with a bull market will conclude they are skilled. Position sizes grow, caution falls, and the first real drawdown arrives at maximum exposure. Protection: the satellite cap and position limits, set before the success.

ANCHORING TO PURCHASE PRICE

"I will sell when it gets back to what I paid." The market has no knowledge of your cost basis. The only relevant question is whether you would buy it today at today's price. Protection: evaluate holdings as if you held cash instead.

NARRATIVE SUSCEPTIBILITY

A compelling story about a sector, a theme or a country is the most reliable predictor of a crowded, expensive position. Protection: ask what price the story is already in, and see the sources guide on how narratives are manufactured and monetised.

✕ **The behaviour-gap arithmetic**

Studies of investor returns versus fund returns across markets consistently find a gap — investors earn less than the funds they hold, because of when they buy and sell. Estimates of the gap vary by study, period and methodology and should be treated with care, but the sign is consistent and the magnitude is material. Assume that your own timing will cost you something, and build the structures that minimise the number of timing decisions you get to make. **The investor who automates and ignores is not being lazy; they are removing the main source of loss.**

Common Portfolio Construction Mistakes

These are the errors that show up repeatedly in Indian retail portfolios. Most are not exotic; they are the ordinary consequence of building a portfolio by accumulation rather than by design.

#	Mistake	Why it happens	Fix
1	**Collecting funds instead of building a portfolio**	Each addition looked reasonable in isolation; nothing was ever removed	Cap total holdings at 8. Every addition requires a removal. Count distinct bets, not holdings.
2	**No written allocation at all**	The portfolio emerged from a sequence of individual purchases	Write the IPS. Compute current weights. Rebalance toward the policy over 12–24 months using inflows.
3	**Ignoring EPF/PPF in the asset allocation**	They feel like "savings," not "investments"	They are debt. Count them. Many "80% equity" portfolios are 55% equity once counted.
4	**Holding employer stock indefinitely**	Loyalty, belief, capital gains reluctance, inertia	Sell each vest; reinvest into policy weights. Cap at 10% and preferably 0–5%.
5	**Equity for a 3-year goal**	Reaching for return on money that cannot afford variance	Horizon caps the equity share. No exceptions for dated goals.
6	**No emergency fund, high equity**	The emergency fund "earns nothing"	The emergency fund is what stops you selling equity at the bottom. It earns its keep once a decade and that is enough.
7	**Never rebalancing**	No trigger, no calendar, and selling winners feels wrong	Quarterly check, 5-point bands, annual unconditional rebalance.
8	**Rebalancing too often**	Over-engineering; checking daily	Bands exist to prevent action, not to invite it. Costs and taxes compound.
9	**Stopping SIPs in a fall**	Fear, and the instinct to preserve what remains	The pre-written drawdown protocol. Automate so the decision is not presented.
10	**Lump-sum investing a bonus at the top and nothing at the bottom**	Bonuses arrive on a calendar; confidence arrives after rallies	Route lumpy inflows to the most underweight asset mechanically, which is automatically contrarian.

11	**Mistaking an insurance problem for an investment problem**	Everything looks like a corpus target	Death, disability, critical illness and hospitalisation are insurance. Check this before computing a SIP.
12	**Buying investment-linked insurance**	It is sold hard, often by someone you trust	Separate the two functions. Term insurance for protection, investments for investment. The combined products are usually expensive at both jobs.
13	**Regular plans when direct plans are available**	Default enrolment through a distributor	The difference compounds. Compute the lifetime cost before dismissing it as "only 1%."
14	**Zero international and zero gold**	Home bias and unfamiliarity	These are the two genuinely diversifying sleeves available. Size them deliberately, even if small.
15	**Over-allocating to international because it recently did well**	Performance chasing in the other direction	Policy weight, set once, with the tax and cost friction acknowledged.
16	**Chasing yield in the debt sleeve**	The debt sleeve looks like dead money	Take risk in equity where you are paid for it. The debt sleeve's job is certainty.
17	**Measuring with the wrong metric**	CAGR on a SIP, absolute return with no period, price index as benchmark	XIRR for your money, TWRR against a Total Return Index for the investment.
18	**Benchmarking a balanced portfolio against a pure equity index**	The index is what gets quoted	Blended benchmark at policy weights. Otherwise you will raise equity at the top of every cycle.
19	**No nomination on any account**	Nobody thinks about it	Thirty minutes of work that saves your family months. Cover every demat, folio, bank account, EPF and NPS.

20	**Nobody else knows the portfolio exists**	Privacy, procrastination, discomfort	A sealed document listing institutions and account types (not passwords), with one trusted person knowing where it is.
21	**Leverage for "guaranteed" opportunities**	Confidence plus access to credit	Leverage converts a drawdown into a liquidation. There is no version of this that belongs in a long-term portfolio.
22	**Letting a trading account bleed into the portfolio**	Topping up losses from investment money	Separate account, written-off capital, no top-ups, excluded from portfolio reporting.
23	**Tax-driven decisions that damage the investment**	Over-optimising for tax	Tax is a constraint to manage, not an objective to maximise. Never hold a broken position solely to defer tax.
24	**Complexity for its own sake**	Complexity feels sophisticated	A four-holding portfolio you maintain for 25 years beats a fourteen-holding portfolio you abandon in year six.

Frequently Asked Questions

Questions that come up repeatedly from Indian investors building a first real portfolio. Answers are general education and are not advice for your situation.

> **I have ₹10 lakh (1,000,000 rupees) sitting in a savings account. Should I invest it all at once or stagger it?**
>
> The arithmetic favours lump-sum roughly two-thirds of the time, because markets rise more often than they fall and staggering keeps money in cash earning less. The behavioural argument favours staggering, because a lump sum invested just before a 30% fall produces the regret that makes people abandon plans. A middle path that most people can live with: invest the portion corresponding to your **debt and gold** allocation immediately (low variance, little regret risk), and stagger the equity portion over 6–12 months via a systematic transfer, with a written rule that you accelerate rather than pause if markets fall. Decide the schedule in advance and do not renegotiate it.

> **What is the single most important number in my portfolio?**

Your savings rate. For an investor in the first decade, contributions dominate returns completely — a ₹40 lakh (4,000,000 rupee) portfolio earning 11% gains ₹4.4 lakh a year, while raising a monthly contribution from ₹50,000 to ₹70,000 adds ₹2.4 lakh a year with certainty and no risk. After the corpus is perhaps ten times your annual contribution, returns begin to dominate. Until then, optimise savings, not selection.

My portfolio has 14 mutual funds. Is that diversified?

Almost certainly not. If most of them are Indian equity funds, you hold roughly one bet with fourteen expense ratios and fourteen capital-gains statements. Check two things: the pairwise portfolio overlap between your largest holdings, and how much of your total portfolio sits outside Indian equity. Consolidation is worth doing, but do it with tax awareness — sell down over two or three financial years, use the s.112A exemption each year, and prefer to redirect new contributions rather than liquidate everything at once.

Should I invest in a lump sum when the market falls 10%, or keep the SIP going?

Both, and the order matters. Keep the SIP running unconditionally — that is the part that must never be a decision. Separately, have a pre-written rule in your IPS for deploying idle cash at specified drawdown levels (−20%, −30%, −40%). What does not work is waiting for a fall with cash on the sidelines indefinitely; the cash drag while you wait usually exceeds the benefit of the eventual discount, and the fall that finally arrives rarely feels like the right moment.

How many holdings should a portfolio have?

Four to eight for almost everyone: one broad domestic equity exposure, optionally one mid/small, one international, one gold, one or two debt, plus any tax-advantaged retirement vehicle. More than eight and you cannot track them, your overlap rises, and your rebalancing gets complicated for no benefit. If you run a direct-equity satellite, 8–20 names inside a capped sleeve is a separate count.

Is my EPF part of my asset allocation?

Yes, entirely, and it is debt. This is the most commonly missed adjustment in Indian portfolios. An engineer contributing ₹21,000 a month to EPF while investing ₹25,000 a month in equity funds has a 46% debt allocation on new money, not the 100% equity they believe. Pull the EPF passbook once a year, add the balance to the debt line of your allocation tab, and recompute. The usual consequence is that the fresh-money equity share needs to be higher than you assumed.

My employer gives me RSUs. How should I treat them?

As cash compensation that happened to arrive in share form, and as a concentration risk that compounds an existing one. Your salary, bonus, job security and vested stock all depend on the same company. The standard discipline is to sell each tranche promptly on vesting and reinvest into your policy allocation. There is a tax cost to the sale, and there is a possibility the stock rises afterwards — but the scenario that matters is the one where the company struggles, your stock falls 60%, your bonus is cut and hiring freezes, all in the same quarter. Cap employer exposure at 10% of the portfolio and aim lower. **The tax treatment of RSUs is complex — perquisite tax at vest, capital gains at**

sale, and Schedule FA disclosure if the shares are foreign. Have a chartered accountant review it.

How much international exposure is right for an Indian investor?

There is no single answer, and anyone who gives you one without asking about your tax position is guessing. The framing: your entire balance sheet — salary, employer, home, deposits, future earnings — is already overwhelmingly India-exposed, so diversifying the portfolio is not reckless. Against that, the tax treatment of most international routes is worse than domestic equity, costs are higher, and availability has been interrupted by industry-level overseas investment limits. Most practitioners land at 10–20% of the total portfolio. Below 5% it is too small to do anything; above 35% the friction starts eating the benefit. **Verify the current tax treatment of your chosen route before committing.**

Should I hold gold when it pays no income?

The case for gold is not that it returns well; it is that it returns differently. Its correlation with Indian equity is near zero and occasionally negative, so a 10% sleeve reduces portfolio drawdown by several percentage points at a cost of roughly 0.3 percentage points of expected return — and on a compound basis, the reduced variance roughly offsets even that. The hard part is holding it through the multi-year stretches when it does nothing. If you already hold substantial family gold you actually control, count it and your incremental allocation may be zero.

What should I do when my portfolio falls 30%?

Exactly what your IPS says, which you wrote before it happened. For most long-horizon investors that is: continue the SIP, do not redeem, deploy a pre-specified share of idle cash, rebalance back into equity, write a log entry describing how it feels, and reduce how often you look. What you must not do is make a new decision during the fall. If you find yourself wanting to, invoke the 30-day rule. Historically, the investors who did nothing during severe drawdowns substantially outperformed those who acted — but past behaviour of markets is not a guarantee, and the honest statement is that nobody knows how long any particular recovery takes.

Is rebalancing worth the tax cost?

Usually yes for risk control, usually no as a return enhancer. The way to get the benefit without most of the cost is to rebalance with **inflows** rather than sales: direct every new contribution to the most underweight asset. That handles most drift for anyone still contributing meaningfully. When a sale is unavoidable, rebalance only to the band edge rather than to target, select the highest-cost-basis lots, keep realised long-term equity gains within the s.112A exemption where possible, and consider splitting a large rebalance across two financial years. **Verify the current exemption and rates.**

My fund says it returned 16% but my app shows 9%. Who is lying?

Neither. The fund publishes a time-weighted return, which assumes a single investment held for the whole period. Your 9% is a money-weighted return (XIRR) reflecting when *your* money actually went in. If you invested more after the rally and less during the fall — which is what almost everyone does

— your money-weighted return will be lower. The gap is the cost of your timing, and it is the most actionable number in your portfolio because it is entirely within your control.

Should I prepay my home loan or invest the money?

Compare the loan's effective after-tax rate against the expected after-tax return of the investment, then weight the comparison toward prepayment because the loan return is *certain* and the investment return is not. A 9% home loan against an expected 10.5% equity return pre-tax is not a 1.5-point edge once you account for capital gains tax and the risk that the 10.5% does not arrive. Beyond the arithmetic: a smaller EMI raises your risk capacity, which lets you hold more equity with the rest. Many people reasonably split the surplus. **Interest deduction provisions differ sharply between the old and new tax regimes — and most Chapter VI-A deductions are unavailable under the default new regime. Have a chartered accountant model your specific case.**

Do I need a financial adviser?

If you can write and follow an IPS, compute an XIRR and resist acting in a crash, probably not for the mechanics — though a one-off paid engagement to sanity-check the plan is cheap insurance. Where advice earns its fee is in behaviour (someone who stops you selling at the bottom), in complex tax and estate situations, and when your own situation involves business income, foreign assets or a family with competing interests. If you engage someone, use a **SEBI-registered Investment Adviser** who charges a fee rather than earning commission on what you buy, and **verify their registration number on the SEBI intermediary portal at sebi.gov.in** before paying anything.

What is the simplest portfolio that is actually defensible?

Four holdings: a broad-market domestic equity index exposure, a developed-market international equity exposure, a gold exposure, and a short-duration debt holding — in proportions set by your horizon — plus your EPF counted as debt and an emergency fund held separately. Contributions automated, quarterly band check, annual rebalance and review. That portfolio is boring, cheap, diversified across four genuinely distinct drivers, takes about three hours a year, and will beat the large majority of more complicated efforts because it is one you can actually maintain for twenty-five years.

How do I start if I already have a messy portfolio?

Do not liquidate everything. Work in this order: **(1)** get a consolidated statement by PAN and list everything that exists; **(2)** write the IPS from scratch, ignoring what you currently hold; **(3)** compute current weights against the new policy; **(4)** stop all contributions to holdings outside the policy and redirect them to policy weights; **(5)** over the next 18–24 months, sell down the non-policy holdings, using the annual s.112A exemption and harvesting any losses, roughly one or two positions per quarter; **(6)** set nominations on everything as you go. The transition is boring and takes two years. Doing it in one week for tax-indifferent reasons is the expensive version.

The Portfolio Review Checklist and Annual Calendar

Everything in this guide collapses into a small number of recurring actions. The lists below are deliberately short enough to actually use. Dates relating to tax and compliance are stated as at **FY 2025-26 / AY 2026-27** and must be verified at **incometax.gov.in** each year, since due dates are routinely extended or changed by notification.



Advance-tax instalment months are indicative of the standard 15 June / 15 September / 15 December / 15 March pattern under s.211. Verify applicability and exact dates each year at incometax.gov.in.

Monthly — 15 minutes

- ☐ Confirm every standing instruction executed. A failed SIP is silent and costs a month.
- ☐ Enter the month's transactions into Tab 1 of the tracker, including all charges.
- ☐ Update current values in Tab 2. Do not form an opinion about them.
- ☐ Note any corporate action, dividend, bonus, split or rights that affects cost basis.
- ☐ Nothing else. Do not read the allocation tab. Do not compute returns.

Quarterly — 20 minutes

- ☐ Open Tab 3. Check every asset class against its band.
- ☐ If a band is breached, first redirect the next quarter's contributions; only sell if that cannot restore it.

- [ ] Check concentration limits: largest single stock, employer stock, largest sector.
- [ ] Check that the emergency fund is still intact and still sized to current expenses.
- [ ] One line in the log. No performance judgement.

Annually — 2 hours, each April

- [ ] Step 1: list life changes **before** opening the portfolio. If none, no target may change.
- [ ] Re-sizing of term and health cover against current liabilities, income and medical inflation.
- [ ] Emergency fund re-sized to current monthly expenses, not last year's.
- [ ] Actual savings rate for the year just ended, computed and written down.
- [ ] Goal-by-goal progress: required, current, projected, gap. Close gaps with contributions, not with risk.
- [ ] Full allocation review including EPF, PPF, NPS as debt and employer stock as equity concentration.
- [ ] Unconditional rebalance to policy targets.
- [ ] Apply the annual SIP step-up in the same week the appraisal lands.
- [ ] Portfolio XIRR, blended benchmark TWRR, the gap, maximum drawdown experienced.
- [ ] Satellite scorecard versus the core counterfactual; apply the closure rule if triggered.
- [ ] Cost audit: every expense ratio, total transaction charges, any surviving regular-plan holdings.
- [ ] Holdings audit: does every holding still have a job? Any mandate change? Any overlap?
- [ ] Nomination status on every demat, folio, bank account, EPF, NPS and insurance policy.
- [ ] KYC status current; contact details and email correct with every institution.
- [ ] Read last year's log entries. Write this year's. Re-sign the IPS with any amendments and their justifications.

Tax-year actions — verify dates annually

When	Action	Note
Each April	Download the capital gains statement for the year just ended from CAMS/KFintech and the broker's annual P&L	Reconcile against your own tracker before you need it
15 June	Advance tax instalment 1 under s.211, if applicable	Investors with significant non-salary income may be liable. Verify applicability and the current instalment schedule.
June–July	Check the AIS, TIS and Form 26AS on the income-tax portal against your records	Discrepancies are common; raise feedback in the AIS before filing
By the due date (commonly 31 July for non-audit cases)	File the income-tax return	**Critical:** losses can only be carried forward if the return is filed by the due date. **Verify the current due date each year — it is routinely extended by notification.**
15 September	Advance tax instalment 2	As above
15 December	Advance tax instalment 3	As above
January	Mid-year AIS check and a first pass at the year's realised gains position	Leaves two months to act rather than two weeks
Early–mid March	Tax-gain and tax-loss harvesting within the s.112A exemption; final allocation sanity check	**Do not leave this to 30–31 March** — settlement timing means a trade on the last day may not settle in the same financial year. Verify settlement cut-offs with your broker.
15 March	Advance tax instalment 4	Under-payment attracts interest under s.234B and s.234C — see the tax guide
31 March	Financial year closes	Confirm nothing is pending settlement that you expected to land in this year

⚠ **Dates and sections are as at FY 2025-26 / AY 2026-27 — verify current status**

Advance-tax instalment dates, return filing due dates, the s.112A exemption limit, capital gains rates and the treatment of specified debt funds all change. In addition, the **Income-tax Act 2025 replaces the Income-tax Act 1961 with effect from 1 April 2026**, renumbering sections throughout, so every section reference in this guide must be cross-checked against the new section map. Verify everything at **incometax.gov.in**, and have a chartered accountant review your actual return.

The one-page summary

1	4–8	±5pp	6–7 hrs
IPS, WRITTEN	HOLDINGS	REBALANCE BANDS	PER YEAR

1. **Prerequisites first**
   Emergency fund of 6–12 months, term and health insurance, no high-cost debt. Nothing in this guide works without these.
2. **Write the IPS**
   Objectives, horizons, capacity, tolerance, required return, target allocation, prohibitions, rebalancing policy, drawdown protocol, review cadence, amendment rule.
3. **Bucket by goal**
   Horizon caps the equity share for each goal independently. A rigid date means zero equity in the final year.
4. **Choose asset classes, not products first**
   Growth, stability, inflation hedge, liquidity. Then pick the cheapest competent vehicle for each.
5. **Count what you already own**
   EPF and PPF are debt. Employer stock is concentrated equity. Family gold is gold. Recompute.
6. **Automate contributions**
   Standing instruction, dated after salary credit, with an annual step-up applied the week the raise arrives.
7. **Cap the satellite**
   Zero for the first two years, then 5–10%, never topped up from the core, scored against the core counterfactual.
8. **Rebalance with inflows first**

Quarterly check, 5-point bands, annual unconditional rebalance, highest-cost-basis lots, within the s.112A exemption.

9 **Measure with XIRR against a blended TRI benchmark**

And track the gap between your XIRR and the benchmark's TWRR — that gap is your behaviour, and it is the part you control.

10 **Obey the drawdown protocol**

Written in daylight, followed in the dark, with a 30-day waiting period before any deviation.

11 **Review once a year, properly**

Life facts first. Allocation targets change only on a life change, never on returns.

12 **Keep it boring**

A simple portfolio maintained for twenty-five years beats a sophisticated one abandoned in year six, and the gap is not close.

✓ **Where to go next**

For the instruments themselves see mutual funds and SIPs and how the Indian market works. For analysing an individual business before it enters a satellite sleeve, see stock analysis. For what every sale costs you, see taxation and regulation for Indian investors. For where to find reliable data and how to filter out the noise, see market data, research and news sources. And before any of them, investing foundations.

✗ **Closing reminder**

This guide is **financial education, not financial advice**. No security, scheme, fund, platform or product has been recommended. Every allocation shown is an illustration of a structure, with its assumptions stated, and none of them is suitable for everyone. Every return and drawdown figure is illustrative, not a forecast. Every rate, threshold, section number and due date is stated **as at FY 2025-26 / AY 2026-27** and must be verified at **incometax.gov.in**, **sebi.gov.in**, **rbi.org.in**, **amfiindia.com** and **pfrda.org.in** before you rely on it — and note again that the **Income-tax Act 2025 takes effect from 1 April 2026 and renumbers sections throughout. Verify current status.** For advice on your own circumstances, consult a SEBI-registered Investment Adviser and a chartered accountant. **Capital is at risk.**